

# Texas Family Caregiver Master Plan

How your cousin and her husband get paid by Texas Medicaid to care for your aunt and uncle at home, at the highest legitimate pay, with the highest level of care

**Who this is for:** an elderly married couple (aunt and uncle) who own their home in Texas, and their niece (the cousin) and her husband, who will move in, give up outside work, live in the home, and become the paid attendants.

**What is inside:** the exact Texas programs that pay relatives, 2026 dollar limits and hourly rates, an itemized step list for each of the four people, phone numbers and form numbers verified against HHSC and federal sources in September 2026, a 120-day timeline, an honest income model, the mistakes that cost families their pay, and a care-quality plan.

## Read this first

**The three-sentence version.** Put both names on the STAR+PLUS HCBS interest list today and apply for Community Attendant Services (CAS) the same day, because CAS has no waitlist and pays for up to 50 hours a week per person. Choose the Consumer Directed Services (CDS) option so the aunt and uncle are the employers and can legally hire the niece and her husband; never make the niece the Designated Representative. When STAR+PLUS HCBS opens (typically inside a year), move to it: no 50-hour cap, 30 days of respite per person per year, home modifications, adaptive aids, and dental, all on top of attendant hours.

Prepared September 3, 2026 from Texas HHSC handbooks, the Texas Administrative Code, HHSC rate schedules, IRS, VA and SSA sources. Rules change every September 1 and every January 1; confirm any figure before you rely on it. This is a planning guide, not legal, tax or medical advice.

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## How to use this plan

Each section is written for the person who has to do the work. Print the step tables for your person and check boxes as you go. Every phone number carries the words to say when someone answers. Every form has its number so you can ask for it by name.

| Section                                  | Who reads it           | What you get                                                        |
|------------------------------------------|------------------------|---------------------------------------------------------------------|
| 1. The plan on one page                  | Everyone               | The strategy, the order of operations, and the money at stake       |
| 2. The programs, in plain English        | The organizer          | Which Texas programs pay relatives, and which one to use when       |
| 3. Aunt and uncle: itemized steps        | Aunt, uncle, organizer | Every call, form, deadline and assessment, in order                 |
| 4. The cousin: itemized steps            | The cousin             | Getting hired, getting the wage set high, EVV, taxes, training      |
| 5. The husband: itemized steps           | The husband            | Second attendant, respite provider, backup, VA role                 |
| 6. Money: how much and how to get more   | Everyone               | Rates, hours, budget math, income scenarios, tax-free rules         |
| 7. 120-day timeline                      | The organizer          | Week-by-week calendar with the legal deadlines that protect you     |
| 8. Highest level of care                 | The cousin and husband | Free training, Medicaid-paid equipment, respite, oversight          |
| 9. Pitfalls that cost families their pay | Everyone               | The mistakes, with the rule that makes each one a mistake           |
| 10. Directory                            | Everyone               | Phone numbers, websites, search terms, form numbers, rule citations |

### One rule for the whole plan

Pick ONE organizer (probably the cousin) who keeps a binder or shared folder for EACH spouse. Texas treats the aunt and the uncle as two separate cases with two separate assessments, two service plans, two employer accounts and two sets of hours, even though they share a home. Log every call: date, time, person's name, what they said, reference number.

## 1. The plan on one page

### The strategy

Texas pays family caregivers through the **Consumer Directed Services (CDS)** option of its Medicaid attendant programs. The person receiving care (or their representative) becomes the legal employer, a state-contracted **Financial Management Services Agency (FMSA)** runs payroll, and the employer hires whoever they choose, including relatives, as long as the hire is not the care recipient's spouse, the employer, the Designated Representative, or those people's spouses (HHSC Form 1726, April 2026; 26 TAC Chapter 264). A niece and her husband who live in the home are eligible hires.

There are two doors into paid hours for a couple over 65 who are not yet on Medicaid. You go through both at once:

|                                                    | Door 1: Community Attendant Services (CAS)                                                                              | Door 2: STAR+PLUS HCBS program                                                                                                                                               |
|----------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| What it is                                         | State-plan attendant program run by an HHSC caseworker. Not full Medicaid (no Medicaid card), just attendant hours.     | The full home-and-community waiver, run by a managed-care plan (MCO). Attendant hours plus respite, nursing, home mods, adaptive aids, meals, dental, emergency response.    |
| Waitlist                                           | <b>None.</b> Decision within 30 days of a signed application.                                                           | <b>Interest list.</b> As of July 31, 2026, 13,519 names, 99.9% on it under one year; HHSC released 20,595 names since Sept. 1, 2025.                                         |
| Hours                                              | Up to <b>50 hours/week per person</b> (42 if "priority"). Needs a score of 24+ on Form H2060 and 6+ hours/week of need. | <b>No weekly cap and no minimum score.</b> Hours come straight from the Form H2060 task-and-minute math, limited only by a yearly cost ceiling of 202% of nursing-home cost. |
| 2026 money limits                                  | Income \$2,982/mo per person (\$5,964 couple); resources \$2,000 / \$3,000; home exempt to \$752,000 equity.            | Same limits. Income over the cap is fixed with a Qualified Income Trust.                                                                                                     |
| CDS (hire family)?                                 | Yes                                                                                                                     | Yes, for attendant hours, in-home respite, nursing and therapies                                                                                                             |
| Rate paid into the CDS budget (from Sept. 1, 2025) | \$16.33/hour (agency option \$17.13)                                                                                    | \$17.24/hour for attendant time (CDS); respite \$16.56/hour                                                                                                                  |
| Use it as                                          | The <b>bridge</b> : paid hours within about 6 to 10 weeks                                                               | The <b>destination</b> : more hours, more services, respite, home modifications                                                                                              |

## The order of operations

- 1 Today:** add BOTH names to the STAR+PLUS HCBS interest list (YourTexasBenefits.com "Find Support Services", or call 844-438-5658). The request date is your place in line.
- 2 Today:** call 2-1-1 (option 2) or 877-541-7905 and open a Community Care intake for BOTH spouses, asking for Community Attendant Services with the CDS option. File Form H1200 online for each spouse.
- 3 This week:** doctor visit for each spouse; ask the practitioner to complete **Form 3052** (Practitioner's Statement of Medical Need) and to chart every ADL limitation. Get finances under the 2026 limits. Sign powers of attorney and a HIPAA release.
- 4 Within 14 days:** caseworker home visit. Each spouse is scored on Form H2060. Describe the worst days, task by task. Say the niece will NOT keep doing tasks for free, so tasks are coded "purchased," not "caregiver."
- 5 Within 30 days:** eligibility notice (Form 2065-A) with weekly hours. Elect CDS on Form 1584, pick an FMSA, and have the aunt and uncle each be their own employer. Cousin and husband complete the FMSA hiring packet.
- 6 Weeks 6 to 10:** first paychecks. Set the wage on Form 1730 as high as the budget allows. Clock every visit in EVV.
- 7 In parallel:** if either spouse served in wartime, file for VA Pension with Aid and Attendance; if the veteran has a 70%+ service-connected rating, file for the VA caregiver stipend, which is paid on top of Medicaid.
- 8 When the interest list releases (plan on 3 to 12 months):** return Form H1200 and the plan-choice form within 30 days, get the MN/LOC and H2060 done within the MCO's 45 days,

move the CDS employer accounts to the STAR+PLUS HCBS plan, add respite, home modifications and adaptive aids.

## What is at stake (summary; full model in Section 6)

| Scenario                                                                                                                    | Hours / week | Wage    | Household caregiver income per month (gross) |
|-----------------------------------------------------------------------------------------------------------------------------|--------------|---------|----------------------------------------------|
| Bridge: CAS, both spouses, moderate needs (35 + 35)                                                                         | 70           | \$15.00 | about \$4,550                                |
| Bridge: CAS, both spouses at the 50-hour cap, cousin and husband splitting each employer's hours                            | 100          | \$15.00 | about \$6,500                                |
| Destination: STAR+PLUS HCBS, both spouses, H2060 supports 60 hours each (dementia with protective supervision)              | 120          | \$15.50 | about \$8,060                                |
| Add: VA Pension with Aid and Attendance for a married wartime veteran (paid to the veteran; must be spent on care, see 6.8) |              |         | + up to \$2,874                              |
| Add: VA caregiver stipend if the veteran is 70%+ service-connected (paid to the cousin)                                     |              |         | + \$3,034 to \$3,499                         |

Because the cousin and her husband live in the home, wages paid under a Medicaid home-and-community program are excludable from federal income tax under IRS Notice 2014-7, and Texas has no state income tax. The numbers above are therefore close to take-home apart from the 7.65% Social Security and Medicare tax. Details and the caveats (including which programs the IRS has ruled on) are in Section 6.7.

## 2. The programs, in plain English

Texas has several programs that will pay for an attendant. Only some of them let the family be the attendant, and they differ enormously in hours, waitlists and extras. This is the map. Rule citations are included so you can quote them to a caseworker or in an appeal.

| Program                                                                                        | Who runs it                                                                                | Who qualifies                                                                                                                                                                                             | Hours and extras                                                                                                                                                                                     | Family can be paid?                                                   | Waitlist / speed                                                                                                         |
|------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|
| <b>Community Attendant Services (CAS)</b><br>26 TAC 271.81;<br>CCSE Handbook 4600; MEPD A-4100 | HHSC regional Community Care caseworker; MEPD does the money test                          | Income up to \$2,982/mo per person (\$5,964 couple); resources \$2,000 / \$3,000; Form 3052 medical need; H2060 score 24+; 6+ hrs/week need                                                               | Up to 50 hrs/week per person (42 if priority). Attendant tasks only. No Medicaid card.                                                                                                               | Yes, via CDS (Form 1584). Niece and husband eligible.                 | No interest list. Home visit within 14 days; decision within 30 days.                                                    |
| <b>STAR+PLUS HCBS</b> (the former STAR+PLUS Waiver)<br>1 TAC 353.1153; STAR+PLUS Handbook      | A STAR+PLUS managed-care plan (MCO) and its service coordinator; HHSC Program Support Unit | Age 21+; nursing-facility medical necessity (MN/LOC); same money limits; Qualified Income Trust if over income                                                                                            | No weekly cap, no minimum score. Plus 30 days respite/yr, nursing, therapies, \$10,000/yr adaptive aids, \$7,500 home mods, \$5,000/yr dental, meals, ERS, protective supervision hours for dementia | Yes, via CDS for attendant hours, in-home respite, nursing, therapies | Interest list; nearly everyone on it under 12 months as of July 2026. About 3 to 5 months from release to start of care. |
| <b>Community First Choice (CFC)</b><br>1 TAC 354.1360-.1366                                    | MCO (STAR+PLUS)                                                                            | Only people with SSI or "SSI-related" Medicaid (income near \$994 single / \$1,491 couple, or Pickle, disabled widow(er) categories). NOT available to the 300%-income "MAO" group most retirees fall in. | No cap, no interest list; attendant hours, habilitation, ERS                                                                                                                                         | Yes, via CDS                                                          | Immediate, but only if a spouse fits an SSI category. Check, then move on.                                               |
| <b>Primary Home Care (PHC)</b><br>26 TAC 271.81                                                | MCO for STAR+PLUS members; caseworker otherwise                                            | Full Medicaid plus same functional test as CAS                                                                                                                                                            | Up to 50 hrs/week. This is what CAS converts into once a person has full Medicaid.                                                                                                                   | Yes, via CDS                                                          | No interest list                                                                                                         |
| <b>Family Care (Title XX)</b><br>26 TAC 271.69; CCSE 4400                                      | HHSC caseworker                                                                            | Same income limit but resources up to \$5,000 / \$6,000; for people who fail the CAS resource test                                                                                                        | Up to 50 hrs/week                                                                                                                                                                                    | Yes, via CDS                                                          | Regional interest list. Get on it as a backup the same day.                                                              |
| <b>Day Activity and Health Services (DAHS)</b><br>26 TAC 271.77                                | MCO or caseworker                                                                          | Chronic diagnosis; physician orders (Form 3055)                                                                                                                                                           | Adult day center up to 10 units/week, in addition to attendant hours                                                                                                                                 | No (center staff)                                                     | Medicaid: none. Title XX: interest list                                                                                  |

| Program                                   | Who runs it       | Who qualifies                                                                            | Hours and extras                                                                              | Family can be paid?                         | Waitlist / speed                                                           |
|-------------------------------------------|-------------------|------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|---------------------------------------------|----------------------------------------------------------------------------|
| <b>Adult Foster Care</b><br>26 TAC 271.73 | Caseworker or MCO | Person cannot need "considerable" personal care                                          | \$14.81/day (CCSE) or \$19.19 to \$67.20/day (HCBS). Cannot be combined with attendant hours. | Provider lives in; a relative is not barred | <b>Not worth it</b> for this family: 50 hours of CAS pays about \$117/day. |
| <b>PACE</b> (all-inclusive elder care)    | PACE organization | Age 55+, nursing-home level, lives in a PACE zip code (El Paso, Amarillo, Lubbock areas) | Everything, through the PACE center                                                           | Generally no                                | Only if in a PACE area                                                     |

### The single most important eligibility fact

Most Social Security retirees have income above \$994 a month, which puts them in the "Medical Assistance Only" (MAO) 300%-of-SSI group. In that group, CFC is NOT available (STAR+PLUS Handbook 1100 and 6118), so plan on CAS now and STAR+PLUS HCBS later. If either spouse's countable income is at or under \$994 (\$1,491 combined), apply for SSI first instead: it brings full Medicaid, STAR+PLUS, and CFC immediately, and skips the interest list.

## How the two doors connect

- CAS and STAR+PLUS HCBS cannot run at the same time. When HCBS starts, the caseworker ends CAS the day before MCO enrollment and the MCO re-authorizes the hours (CCSE 6430). Watch for a gap and call the Managed Care Helpline at 866-566-8989 if hours lapse.
- The same Form H2060 assessment tool is used by both, but only HCBS drops the 50-hour cap and the 24-point minimum (Form H2060 instructions; PSU Handbook 4200).
- The CDS employer accounts, the FMSA and the hired attendants can carry over; the MCO must give CDS information within 5 business days of a request (STAR+PLUS Handbook 8200).
- Both spouses can be on both programs. Each gets a separate assessment and separate hours; shared housekeeping, shopping and meal-prep minutes are scored on the "companion" range but hands-on personal care is not reduced (CCSE 2441.3).



### 3. Aunt and uncle: itemized steps

These steps are for the aunt and uncle, done with the organizer's help. Where a step says "each," do it twice, once per spouse, and keep two files. If either of them cannot manage paperwork, they sign HHSC **Form H1003** (Appointment of an Authorized Representative) so the organizer can speak to HHSC. That is different from a CDS Designated Representative; see the warning at Step 14.

## Phase A: This week (Days 1 to 7)

| # | What to do                                                                                      | How / where / who to call                                                                                                                                                                                                                                                                                                                                                                                                                   | When / how long                                                                       |
|---|-------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
| 1 | Get on the STAR+PLUS HCBS interest list, each spouse.                                           | YourTexasBenefits.com > create account > "Find Support Services" referral; AND call HHSC at <b>844-438-5658</b> (fallback <b>877-438-5658</b> ). Say: "Please add [name] to the STAR+PLUS HCBS interest list and give me the request date and confirmation." Rule: 1 TAC 353.1153(b).                                                                                                                                                       | Day 1. Request date sets your place in line. Write it down.                           |
| 2 | Open a Community Care intake for each spouse and ask for Community Attendant Services with CDS. | Call <b>2-1-1, option 2</b> (or <b>877-541-7905</b> ). Say: "We want to apply for Community Attendant Services for two people in one home and be screened for every Community Care program. Please open a Form 2110 intake for each and note we want the Consumer Directed Services option." Ask for the regional CCSE office phone number.                                                                                                 | Day 1. Home visit is due within 14 calendar days (26 TAC 271.151).                    |
| 3 | File the Medicaid financial application, each spouse.                                           | Form <b>H1200</b> at YourTexasBenefits.com (or paper from the caseworker; fax 877-477-2839). On the same application, check Medicare Savings Programs (QMB/SLMB) so Medicaid pays the \$202.90 Part B premium for each spouse if eligible. Ask for a Form H1800 receipt to prove the filing date. If the couple holds well over \$3,000 in countable assets, read Section 6.2 on staging the two applications before filing the second one. | Day 1 to 3. MEPD decision clock: 45 days (MEPD B-6400).                               |
| 4 | Doctor visit, each spouse: get Form 3052 signed and the chart to say what they cannot do.       | Ask the primary-care practitioner (MD, NP or PA) to complete <b>Form 3052</b> Practitioner's Statement of Medical Need, naming the medical conditions that cause limits in bathing, dressing, toileting, transfers, walking, eating, medications, memory. Ask for a copy of the visit note. A mental-illness or dementia diagnosis alone is not enough; a physical condition causing the limitation must be documented.                     | Days 1 to 7. Provider must return a corrected 3052 within 5 business days when asked. |
| 5 | Get countable resources under the limit before the certification month.                         | Limits: \$2,000 (one applicant) or \$3,000 (both) on the first day of the month. Exempt: the home (equity to \$752,000), one vehicle, household goods, irrevocable prepaid funeral, term life. Legitimate spend-down: pay off debts, prepay funeral, home repairs, medical equipment. <b>Do not gift money or add anyone to the deed</b> (60-month look-back, MEPD Chapter I).                                                              | Before the month you want coverage to start.                                          |

| # | What to do                                                                                           | How / where / who to call                                                                                                                                                                                                                                        | When / how long                                        |
|---|------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------|
| 6 | If income is over \$2,982 a month for either spouse, set up a Qualified Income Trust (Miller trust). | An elder-law attorney or the free Legal Hotline for Texans ( <b>800-622-2520</b> , age 60+) can help; HHSC has a QIT template in the MEPD Handbook (Appendix XXXVI). Keep any VA Aid and Attendance out of the trust; it is not counted as income (MEPD E-4300). | Same week; MEPD cannot certify until the trust exists. |
| 7 | Sign the legal documents while both are clearly competent.                                           | Statutory Durable Power of Attorney, Medical Power of Attorney, HIPAA release, Directive to Physicians, and consider a Transfer on Death Deed for the home. Free Texas forms at TexasLawHelp.org. Have them notarized.                                           | This week. Costs \$0 to \$30 for notary.               |
| 8 | If either spouse is a veteran or the widow(er) of one, start the VA claim.                           | Texas Veterans Commission claims counselor <b>800-252-8387</b> (free), or the VA benefits line <b>800-827-1000</b> . Ask for "Pension with Aid and Attendance" (Form 21P-527EZ plus 21-2680 exam form). See Section 5 and Section 6.                             | This week; VA takes months, so start now.              |

## Phase B: The assessment visit (Days 7 to 21)

| #  | What to do                                                                                       | How / where / who to call                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | When / how long                                         |
|----|--------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------|
| 9  | Be home for the caseworker's visit; have the cousin present as informant.                        | The caseworker scores each spouse on <b>Form H2060</b> (0 to 3 per task) and converts minutes per task into weekly hours. Answer for the <b>worst</b> days. Cover every task: bathing, dressing, grooming, toileting, transfers, walking, feeding, meal prep (all meals, 7 days), medications, laundry, cleaning, shopping, escort to appointments.                                                                                                                                                                                                                                 | Within 14 days of the intake. The visit sets the hours. |
| 10 | Make sure no needed task is coded "C" (caregiver does it free).                                  | The service-arrangement column decides what is purchased. State clearly: "Our niece will be the paid attendant; she will not be doing these tasks unpaid." Ask that minutes be set at the top of the range the impairment score allows. Score needed: 24+ for CAS. Living with another Community Care recipient waives the 6-hour minimum (26 TAC 271.81).                                                                                                                                                                                                                          | At the visit.                                           |
| 11 | Ask about "priority status" only for safety, never for hours.                                    | Priority status (cannot transfer, eat, toilet or cook without hands-on help and no one else is present) <b>lowers</b> the cap from 50 to 42 hours. With live-in caregivers you almost never want it.                                                                                                                                                                                                                                                                                                                                                                                | At the visit.                                           |
| 12 | Ask the caseworker for the add-ons.                                                              | Home-Delivered Meals (score 20+, no means test, Title XX), Day Activity and Health Services if useful, Emergency Response Services if the caregivers will be out 8+ hours a day. Also ask to be placed on the regional Family Care interest list the same day as a backup (request date controls, 26 TAC 271.5).                                                                                                                                                                                                                                                                    | At the visit.                                           |
| 13 | Choose the Consumer Directed Services option, and get the "primary caregiver" question answered. | The caseworker must present Forms <b>1581, 1582, 1583, 1584</b> . Elect CDS on <b>Form 1584</b> and pick an FMSA (both spouses can use the same FMSA; each is a separate employer). Sign Forms <b>1735</b> (employer-FMSA agreement), <b>1736</b> (orientation) and <b>1740</b> (backup plan naming the other caregiver). Form 1726 says the "primary caregiver" in PHC/CAS/FC cannot be the paid attendant; tell the caseworker in writing that the niece is a hired attendant, not the household's unpaid caregiver, and ask them to confirm she is an eligible hire (Section 4). | At the visit or within days after.                      |
| 14 | <b>Do NOT name the cousin or her husband as Designated Representative.</b>                       | Form 1726: the DR and the DR's spouse cannot be paid employees of that member. If the aunt or uncle cannot handle employer duties even with FMSA support consultation (Form 1586), pick a different adult (a friend, another relative who lives elsewhere) as DR on Form 1720.                                                                                                                                                                                                                                                                                                      | Decide before signing CDS forms.                        |

## Phase C: Approval and start of pay (Days 21 to 70)

| #  | What to do                                                       | How / where / who to call                                                                                                                                                                                                                                                                                                                                             | When / how long                    |
|----|------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------|
| 15 | Watch for the eligibility notice and check the hours.            | <b>Form 2065-A</b> arrives within 2 business days of the decision (decision due within 30 days of the signed application). It lists weekly hours and appeal rights. Ask the caseworker for the Form H2060 worksheet. Form <b>2101</b> (authorization) goes to the FMSA within 5 business days.                                                                        | By about Day 30 to 45.             |
| 16 | If hours look low, appeal immediately.                           | Request a fair hearing by the deadline printed on Form 2065-A (generally 90 days), cite 26 TAC 271.81 and the Task/Hour Guide, and ask for a reassessment after any hospitalization, fall or decline. Benefits continue during a timely appeal of a reduction.                                                                                                        | Within the deadline on the notice. |
| 17 | Set the wage as high as the budget allows.                       | Ask the FMSA for the written budget: rate \$16.33/hour (Level 1) minus FMSA fee minus employer payroll taxes. Set the hourly wage on <b>Form 1730</b> at the maximum sustainable level; put any remainder into paid leave, holiday pay or bonuses (26 TAC 264.505). The old \$10.60 wage floor was repealed Aug. 31, 2025, so nothing but the budget limits the wage. | Before the first payroll.          |
| 18 | Approve timesheets and EVV visits every pay period.              | The employer (or DR) approves hours the attendant clocked through the FMSA's Electronic Visit Verification app. Unapproved or unclocked visits do not get paid.                                                                                                                                                                                                       | Every pay period, forever.         |
| 19 | Report changes to MEPD within 10 days and do the annual renewal. | Income or resource changes, hospital stays over 30 days, address changes. Annual reassessment of hours (CCSE 2660) and annual MEPD redetermination.                                                                                                                                                                                                                   | Ongoing.                           |

## Phase D: When the STAR+PLUS HCBS interest list releases (Months 3 to 12)

| #  | What to do                                         | How / where / who to call                                                                                                                                                                                                                                                                                                                                                                                                                                      | When / how long                                          |
|----|----------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------|
| 20 | Answer every HHSC call and letter.                 | HHSC contacts you annually to confirm interest; if they cannot reach you they mail <b>Form H2118</b> . Respond within 30 days or you are removed. In FY 2026-27, 7,466 people (44.6% of closures) were dropped for "no response."                                                                                                                                                                                                                              | Whenever contacted.                                      |
| 21 | Return the release packet within 30 days.          | The enrollment broker mails Form H1200 (again), <b>Form H2053-B</b> (health-plan choice) and the plan comparison chart within 7 days of confirming interest. Choose the MCO for your county after calling each plan's service-coordination line to ask about CDS and FMSAs. Missing 30 days means a default plan assignment.                                                                                                                                   | 30 days from the packet date.                            |
| 22 | Get the MN/LOC and the new H2060 done fast.        | The MCO has 45 days to send a nurse for the Medical Necessity/Level of Care assessment (physician signature required), complete Form H2060 and write the Individual Service Plan (Form H1700-1). Ask for: attendant hours with no cap, <b>protective supervision</b> hours if there is memory impairment, 30 days of in-home respite (the respite worker must be someone who does not live in the home), ERS, adaptive aids, minor home modifications, dental. | Within 45 days of release (STAR+PLUS PSU Handbook 3311). |
| 23 | Move the CDS employer accounts over.               | Tell the service coordinator you already use CDS and name your FMSA (it must contract with the new MCO; if not, choose another). Re-sign Forms 1584/1735 for the HCBS program. Start of care is the first day of the month after the last approval.                                                                                                                                                                                                            | Realistically 3 to 5 months from release.                |
| 24 | Read the approval notice and calendar the renewal. | <b>Form H2065-D</b> gives the start-of-care date, hours and appeal rights. The ISP and MN/LOC renew every 12 months. Request a change-of-condition reassessment after any decline.                                                                                                                                                                                                                                                                             | Every 12 months.                                         |

## 4. The cousin: itemized steps

You are the engine of this plan: the organizer now, the paid attendant later, and the person whose documentation protects everyone's hours. Your two legal identities must stay separate: **helper with the paperwork** (Form H1003 authorized representative, medical power of attorney) is fine; **CDS Designated Representative** (Form 1720) is not, because a DR and the DR's spouse can never be paid by that employer (26 TAC 264.205; Form 1726).

### The one rule that can block CAS pay, and how to handle it

HHSC Form 1726 (April 2026) says a CDS service provider may not be "the primary caregiver in Primary Home Care (PHC), Community Attendant Services (CAS) or Family Care (FC)." That line does not exist for STAR+PLUS HCBS or CFC. Nothing in the rules defines who the "primary caregiver" is. So: you are moving in **to be the hired attendant**, not as an unpaid caregiver. Say that plainly at the Form H2060 visit, do not let tasks be coded "C" (caregiver provides free), and ask the caseworker and the FMSA **in writing**, before you give up your job, to confirm you are an eligible CAS hire. If a caseworker rules against you on CAS, the answer is not to give up; it is to push STAR+PLUS HCBS harder (no such bar) and to have the husband be the CAS attendant in the meantime.

## Phase A: Before you move (this week)

| # | What to do                                              | How / where / who to call                                                                                                                                                                                                                                                                                                                                                            | When / how long          |
|---|---------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|
| 1 | Confirm you are hireable.                               | 18+; Social Security number and I-9 documents; a Texas DPS criminal history with no bar under Health and Safety Code 250.006; not on the Nurse Aide Registry (revoked), Employee Misconduct Registry, HHSC-OIG or federal exclusion lists. The FMSA runs these checks (Forms 1725, 1729); you do not.                                                                                | Day 1                    |
| 2 | Get the paperwork authority, not the DR role.           | Have the aunt and uncle each sign HHSC <b>Form H1003</b> (Appointment of an Authorized Representative) and a HIPAA release so HHSC, the caseworker and the MCO will talk to you. Medical Power of Attorney naming you is fine too. <b>Do not</b> sign Form 1720 as DR.                                                                                                               | Day 1 to 7               |
| 3 | Drive Steps 1 to 8 of Section 3 for both of them.       | Interest list (844-438-5658, fallback 877-438-5658, plus YourTexasBenefits referral), Community Care intake (2-1-1 option 2), Form H1200 online, doctor visits for Form 3052, financial snapshot, VA intent to file. Keep the call log.                                                                                                                                              | Day 1 to 7               |
| 4 | Get the primary-caregiver question answered in writing. | Email or letter to the regional Community Care office (via 2-1-1 or the ADRC at 855-937-2372) and to two candidate FMSAs: "I intend to relocate to be hired as the paid CDS attendant for my aunt and uncle under CAS. Please confirm that a niece who lives in the home and is hired as the attendant is not treated as the 'primary caregiver' under Form 1726." Keep the answers. | Before quitting your job |
| 5 | Make the house your legal home.                         | Driver's license, voter registration, mail. This is what makes the IRS Notice 2014-7 income exclusion available (you must live in the care recipient's home as your own home).                                                                                                                                                                                                       | Move-in week             |
| 6 | No rent. No cash. No deed changes.                      | Sign a written household-expense-sharing agreement (your share of utilities, groceries, repairs paid straight to the vendors). Rent to the aunt and uncle is countable income to them; gifts or paying you under the table create a Medicaid transfer penalty of \$262.37 per day.                                                                                                   | Move-in week             |



## Phase B: The assessment and hiring (Days 7 to 45)

| #  | What to do                                           | How / where / who to call                                                                                                                                                                                                                                                                                                                                                                                                                                                            | When / how long                      |
|----|------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------|
| 7  | Be the informant at every assessment.                | Bring a 7-day diary per spouse, the medication list, the PCP letter. For each of the 23 tasks on Form H2060 give minutes and frequency on the worst days. Ask for protective supervision hours (HCBS) if there is dementia.                                                                                                                                                                                                                                                          | Day 7 to 21                          |
| 8  | Complete the FMSA new-hire packet for EACH employer. | Form 1724 cover sheet, <b>1725</b> (background/registry consent), <b>1734</b> (relationship certification: every answer "No"), 1727, 1728 (workers' comp election), <b>1730</b> (wage plan), 1731 (schedule), 1732 (training log), 1733 (if delegated health tasks), 1737 (employer-employee agreement), I-9, W-4, direct deposit. Two files: one for the aunt, one for the uncle. Nobody works until the FMSA returns Form 1729 and approves the budget in writing.                 | Up to 3 weeks after the FMSA meeting |
| 9  | Negotiate the wage to the ceiling.                   | Ask the FMSA for the budget workbook. On 2026 rates the ceiling is about <b>\$15.05/hour under CAS</b> (\$16.33 rate) and about <b>\$15.90/hour under STAR+PLUS HCBS</b> (\$17.24 rate) if nothing is reserved for benefits. At least 66.36% of the budget must go to employee compensation. Put remainder into accrued paid leave, a longevity bonus, health-premium reimbursement (non-taxable) or workers' comp (26 TAC 264.505). Unused money is forfeited to the state.         | Before first shift                   |
| 10 | Set a schedule that avoids overtime.                 | Overtime over 40 hours for one employer is paid at 1.5x out of the same fixed budget, which forces the hourly wage down. Best pattern: you work up to 40 hours for one spouse and the husband works up to 40 for the other; the remaining authorized hours (up to 50 each) are covered by the other person. Ask the FMSA in writing how it treats combined hours across the two employers and whether it recognizes the live-in domestic worker overtime exemption (29 CFR 552.102). | Before first shift                   |
| 11 | Ask the FMSA two tax questions in writing.           | (a) "Do you apply IRS Notice 2014-7 to live-in caregivers and report excluded wages in W-2 Box 12 Code II?" (b) "Do you apply it to CAS/PHC pay or only to STAR+PLUS HCBS pay?" See Section 6.7.                                                                                                                                                                                                                                                                                     | Before first payroll                 |

## Phase C: Working (ongoing)

| #  | What to do                                           | How / where / who to call                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | When / how long |
|----|------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|
| 12 | Clock every shift in EVV.                            | Install HHAExchange+ (support 833-430-1307). Clock in at the start and out at the end of each authorized shift, separately for the aunt and for the uncle, never overlapping. There is no live-in exemption. Fix any missed clock within <b>95 days</b> or the pay is gone. Overnight shifts split automatically at midnight.                                                                                                                                                                                                          | Every shift     |
| 13 | Work the authorized schedule and tasks only.         | Form 1731 schedule equals the authorized units. Being present in the home is not billable; assessed tasks are. Keep a daily task log per spouse (Form 1720 service log) that matches EVV.                                                                                                                                                                                                                                                                                                                                              | Every day       |
| 14 | Protect and grow the hours.                          | Request a reassessment after any hospitalization, fall or decline. Appeal low hours within 90 days (CCSE) or 60 days to the MCO (STAR+PLUS), and ask for continuation of benefits within 10 days of any reduction notice. Managed Care Ombudsman 866-566-8989 for MCO stalls.                                                                                                                                                                                                                                                          | As needed       |
| 15 | Build the training file (Section 8).                 | AAA caregiver program (800-252-9240), dementia training, CPR, the CNA course if you want it. Log everything on Form 1732; it justifies the top wage and protects you in any audit.                                                                                                                                                                                                                                                                                                                                                     | First 90 days   |
| 16 | Do the taxes right.                                  | Your pay is subject to Social Security and Medicare tax (you earn credits) and Texas unemployment coverage (Labor Code 201.065 excludes only spouse, parent, child). If the FMSA applies Notice 2014-7, your federal income tax on that pay is zero and you can still elect to count it as earned income for the Earned Income Tax Credit. Check your health-coverage plan: excluded pay is not in MAGI, and a household with only excluded income can fall into Texas's coverage gap (below 100% of poverty, no marketplace subsidy). | Each January    |
| 17 | When the STAR+PLUS HCBS release comes, move with it. | Same FMSA if it is in the MCO's network; new Forms 1584/1735; new budget at \$17.24/hour; ask for protective supervision hours and in-home respite (delivered by an outside person, see Section 5).                                                                                                                                                                                                                                                                                                                                    | Months 3 to 12  |

## 5. The husband: itemized steps

The husband is the second paid attendant, the required backup, the record-keeper, and, if either spouse is a veteran, the person who runs the VA side. Two things he cannot be: the CDS Designated Representative while his wife is paid by that employer (the DR's spouse may not be an employee), and a paid STAR+PLUS HCBS respite provider while living in the home (STAR+PLUS Handbook 7300: the in-home respite provider "must not live with the member").

| # | What to do                                                                    | How / where / who to call                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | When / how long  |
|---|-------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|
| 1 | Get hired as the second CDS employee.                                         | Same new-hire packet as the cousin (Forms 1724, 1725, 1734, 1728, 1730, 1731, 1732, 1737, I-9, W-4). Nothing in 26 TAC 264 or Form 1726 bars a niece's husband. If he will drive either person, a Texas driver's license and auto insurance card go in the file (26 TAC 264.231).                                                                                                                                                                                                                             | Days 21 to 45    |
| 2 | Take the other spouse.                                                        | Cleanest structure: cousin is the primary attendant for one spouse, husband for the other, each up to 40 hours with that employer, and each picks up the other spouse's remaining hours (up to 50). This uses every authorized hour, avoids overtime, and keeps EVV visits from overlapping.                                                                                                                                                                                                                  | At scheduling    |
| 3 | Be the named backup on Form 1740.                                             | CDS requires a Service Backup Plan for critical services. He is the backup for her shifts and she for his; sick days and appointments are covered without losing hours.                                                                                                                                                                                                                                                                                                                                       | At enrollment    |
| 4 | If one spouse cannot be their own employer, solve the DR problem without him. | The aunt can be the uncle's DR and the uncle the aunt's (a spouse may be DR; a spouse just cannot be the paid attendant). If neither can, use a relative or friend who lives elsewhere. Whether he can be DR for the uncle while his wife is paid only by the aunt is legally arguable under 264.205 but has not been ruled on; do not rely on it.                                                                                                                                                            | Before CDS forms |
| 5 | Own the VA file if there is a veteran (Section 6.8).                          | Texas Veterans Commission 800-252-8387 for a free accredited claims advisor; VA Form 21-0966 intent to file first; physician completes 21-2680; 21P-527EZ with 21P-8416 medical expense report; enroll the veteran in VA health care (10-10EZ) and ask the VA social worker about Veteran-Directed Care, Homemaker/Home Health Aide hours and respite. If the veteran is 70%+ service-connected, file 10-10CG for the caregiver stipend with the cousin as Primary Family Caregiver and himself as Secondary. | Week 1 onward    |

| #  | What to do                                 | How / where / who to call                                                                                                                                                                                                                                                                                           | When / how long           |
|----|--------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------|
| 6  | Keep the ledger that protects the money.   | Monthly: how every VA Aid and Attendance dollar was spent (medications, supplies, equipment, private-pay care hours outside the Medicaid plan), receipts for care and home costs (future MERP deduction under 1 TAC 373.213), copies of every notice with its appeal deadline, the QIT statements if he is trustee. | Monthly                   |
| 7  | Run home safety and equipment.             | CDC STEADI home checklist, DME orders through the PCP and MCO, minor home modification bids (\$7,500 lifetime per spouse under HCBS), ERS pendant, smoke and CO detectors, clear paths, grab bars, lighting.                                                                                                        | First 60 days and ongoing |
| 8  | Run logistics.                             | Medical transportation (MCO line or 877-633-8747; 2 workdays' notice) or drive under the Individual Transportation Participant mileage program; pharmacy; DAHS or outside respite scheduling; the AAA respite voucher provider (must be someone outside the household).                                             | Ongoing                   |
| 9  | Watch for burnout and schedule the breaks. | Use the STAR+PLUS HCBS respite days (delivered by an outside provider), AAA vouchers, and adult day services. Caregiver Action Network 855-227-3640; 988 any time.                                                                                                                                                  | Monthly                   |
| 10 | Keep outside income in view.               | If he keeps any outside work, that taxable income keeps the household above 100% of the poverty line for marketplace health-insurance subsidies (Texas did not expand Medicaid) and may bring employer coverage. Weigh that against the paid attendant hours he can fill; the numbers are in Section 6.             | Decide in month 1         |

### Summary for the husband

The husband CAN be paid as the second attendant for CAS, PHC, CFC and STAR+PLUS HCBS attendant hours. He CANNOT be paid for STAR+PLUS HCBS respite while he lives in the home, cannot be the AAA voucher respite worker, and cannot be the DR for an employer that pays his wife. Plan around those three lines and every other hour is open to him.

## 6. Money: getting eligible, protecting the home, and how much the caregivers earn

### 6.1 The 2026 numbers that decide eligibility (MEPD Handbook Appendix XXXI; CMS bulletin April 27, 2026)

| Test                                                      | One spouse applying                                                                                                           | Both spouses applying                                                         | Notes                                                                                                                                        |
|-----------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|
| Monthly income cap (300% of SSI)                          | <b>\$2,982</b>                                                                                                                | <b>\$5,964</b> combined                                                       | Gross income before deductions. Over the cap? A Qualified Income Trust fixes it. VA Aid and Attendance is not counted (MEPD G-4100, E-4300). |
| Countable resources                                       | <b>\$2,000</b>                                                                                                                | <b>\$3,000</b>                                                                | Tested on the first day of each month. Both spouses' assets count even if one applies.                                                       |
| Home                                                      | Exempt as principal residence                                                                                                 | Exempt                                                                        | 2026 equity cap \$752,000, and the cap does not apply while a spouse lives there (F-3600).                                                   |
| Vehicle                                                   | One, any value                                                                                                                | One, any value                                                                | F-4221                                                                                                                                       |
| Life insurance                                            | Face value up to \$1,500 per person exempt                                                                                    | Same                                                                          | Over \$1,500 face: the whole cash value counts. Term insurance is fine.                                                                      |
| Burial                                                    | Irrevocable prepaid funeral: exempt, any value; \$1,500 designated burial fund; burial plots exempt                           | Same                                                                          | The cleanest spend-down item.                                                                                                                |
| Spousal protection when only ONE spouse is on the program | Community spouse keeps <b>\$32,532 to \$162,660</b> in resources (SPRA) and an income allowance up to <b>\$4,066.50/month</b> | Not available: with both on the program there is no community spouse (J-1300) | This is why application timing matters; see 6.2.                                                                                             |
| Look-back                                                 | 60 months                                                                                                                     | 60 months                                                                     | Gifts are penalized at <b>\$262.37 per day</b> of ineligibility (I-5100). A \$20,000 gift = 76 days.                                         |
| Family Care (Title XX) backup resource limit              | \$5,000                                                                                                                       | \$6,000                                                                       | Same income limits; regional interest list.                                                                                                  |
| SSI level (opens CFC immediately)                         | \$994                                                                                                                         | \$1,491                                                                       | If income is this low, apply for SSI first.                                                                                                  |

### 6.2 Getting under the limits without losing anything

- **Take a snapshot first.** Every account, policy, title, deed, award letter, and any gift in the last 60 months. Nothing moves until you know the numbers.
- **Income over \$2,982?** A Qualified Income Trust (Miller trust) is routine in Texas: irrevocable, income only, Texas named as residuary beneficiary, deposit in the month received. HHSC publishes a model trust (MEPD Appendix XXXVI). Elder-law attorneys typically charge about \$400 to \$500. The husband can be the trustee. It can be made effective up to 3 months before the application date.

- **Resources over \$3,000?** Spend down on exempt things that help the care: irrevocable prepaid funerals for both, home repairs and accessibility work, a reliable vehicle, a hospital bed or lift. Medicare will not cover, paying off debt. **Never** gift cash or add the cousin to the deed.
- **Ask an elder-law attorney about staging.** If the couple holds more than \$3,000 but less than roughly \$165,000 in countable assets, applying for the **needier spouse first** makes the other a "community spouse" who may keep up to \$162,660 (SPRA) instead of spending down to \$3,000. Whether and when to add the second spouse is a planning decision; get it in writing. Free advice: Legal Hotline for Texans **800-622-2520, option 3** (age 60+). Referral to a paid attorney: State Bar **800-252-9690**; Texas NAELA directory at [naela.org](http://naela.org).
- **The cousin's and husband's money does not count.** Texas deems income only spouse-to-spouse and parent-to-minor (MEPD E-7100), and waiver budgets ignore in-kind support (O-1000). But **rent paid to the aunt and uncle IS countable income** to them (E-3000). So: no rent. Sign a written expense-sharing agreement and have the cousin's household pay its share of utilities, groceries and repairs **directly to the vendors**. No joint accounts with the aunt and uncle, ever.
- **Any private pay to the cousin before Medicaid starts** must be under a written, prospective Personal Care Agreement at a fair hourly wage for genuine personal care (bathing, toileting, transfers), paid by check, with daily logs. Texas treats payment for "chores a family member would normally do" (cleaning, laundry, meals, shopping, driving) as a gift even with a contract (MEPD I-4100).

## 6.3 Protecting the house from Medicaid Estate Recovery (MERP)

Texas recovers the cost of STAR+PLUS long-term care and CAS received at age 55+ from the **probate estate** after death (1 TAC Chapter 373; HHSC "Your Guide to MERP"). No claim is filed while a spouse survives. The cousin, as a niece, gets **no** caregiver-child exemption. These are the tools that work:

| Tool                                                                     | What it does                                                                                                                                                                                                 | How                                                                                                                                                                                      |
|--------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Transfer on Death Deed</b> (Tex. Est. Code ch. 114) or Lady Bird deed | Passes the home outside probate, so MERP has nothing to claim against. Not a penalized transfer during life (MEPD I-3100). Revocable.                                                                        | Free statutory form and instructions at <a href="http://TexasLawHelp.org">TexasLawHelp.org</a> ; record it with the county clerk (about \$30). Do it this week while both are competent. |
| <b>Care-cost deduction</b> (1 TAC 373.213)                               | MERP's claim is reduced by documented costs of care that kept the person out of a nursing home, plus taxes, insurance, utilities and repairs paid by heirs. No dollar cap.                                   | Keep a receipts binder from day one. File within 60 days of the Form 8001 notice.                                                                                                        |
| <b>Undue hardship waiver</b> (1 TAC 373.209; Form 5006)                  | No recovery if the homestead is appraised under \$100,000 and heirs' income is below 300% of poverty (about \$47,880 single / \$64,920 couple in 2026), or recovery would push heirs onto public assistance. | Request within 60 days of Form 8001; decided in 40 days.                                                                                                                                 |
| Automatic exemptions                                                     | No claim if estate is \$10,000 or less, Medicaid cost is \$3,000 or less, or a surviving spouse or disabled child exists.                                                                                    | MERP contractor <b>800-641-9356</b> ; <a href="mailto:merp@hhs.texas.gov">merp@hhs.texas.gov</a>                                                                                         |

## 6.4 Money the couple gets back the day Medicaid says yes

| Benefit                                               | 2026 limits                                                                                | Worth                                                                                                                                                                                                             |
|-------------------------------------------------------|--------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Medicare Savings Program (QMB) on the same Form H1200 | Income \$1,330 single / \$1,804 couple; resources \$9,950 / \$14,910 (MEPD Q-2500, Q-1300) | Pays the <b>\$202.90/month Part B premium</b> for each spouse (\$4,869.60 a year for the couple) and all Medicare copays and deductibles. SLMB and QI-1 pay the premium at higher incomes (up to \$2,435 couple). |
| Part D Extra Help                                     | Automatic with Medicaid or MSP; otherwise income \$23,940 / \$32,460                       | \$0 plan premium and deductible; copays no more than \$5.10 generic / \$12.65 brand                                                                                                                               |
| Full Medicaid (STAR+PLUS)                             | When HCBS starts                                                                           | Covers what Medicare does not; STAR+PLUS HCBS adds dental, home mods, adaptive aids, respite                                                                                                                      |
| Over-65 homestead exemption and tax ceiling           | Any income                                                                                 | Check the county appraisal district has the over-65 exemption and school-tax ceiling on file; Tax Code 33.06 also allows deferral of property taxes entirely.                                                     |

### The biggest lever

Apply for BOTH spouses. Each one who qualifies is a separate assessment and a separate set of paid hours. Under CAS that is up to 100 hours a week for the household; under STAR+PLUS HCBS there is no weekly cap at all. Getting the second spouse eligible is the single biggest pay lever in this plan.

## 6.5 What Texas pays per hour, and how much reaches the caregiver

Since September 1, 2025 (Senate Bill 1, Rider 23, 89th Legislature) HHSC rates assume an average attendant wage of \$13.00 an hour plus 14% payroll costs. Under the agency option the agency keeps the difference. Under CDS the aunt and uncle receive the whole CDS rate into a budget the FMSA administers, the FMSA is paid its fee separately (\$120.55/month for CAS, \$210.08/month for STAR+PLUS HCBS), and the employer sets the wage. HHSC's own budget workbook requires at least 66.36% of the budget to go to employee compensation; in practice about 92% can.

| Program and service                                            | CDS rate into the budget                | Agency rate (for comparison) | Wage ceiling after employer taxes* |
|----------------------------------------------------------------|-----------------------------------------|------------------------------|------------------------------------|
| CAS / PHC / Family Care attendant, non-priority                | <b>\$16.33/hour</b>                     | \$17.13                      | about <b>\$15.05</b>               |
| CAS / PHC / Family Care attendant, priority (42-hour cap)      | \$16.51/hour                            | \$17.31                      | about \$15.20                      |
| STAR+PLUS HCBS attendant (PAS), incl. protective supervision   | <b>\$17.24/hour</b> (\$4.31 per 15 min) | \$17.60                      | about <b>\$15.90</b>               |
| STAR+PLUS HCBS in-home respite (outside provider only)         | \$16.56/hour                            | \$17.56                      | about \$15.25                      |
| CFC attendant / CFC habilitation (only if SSI-level Medicaid)  | \$17.04 / \$17.68                       | \$17.84                      | about \$15.70 / \$16.30            |
| Support consultation (coach for the employer, from the budget) | \$26.52/hour                            |                              | use briefly, if at all             |

\*Ceiling assumes nothing reserved for benefits or bonuses; employer FICA 7.65%, FUTA 0.6% on the first \$7,000, Texas unemployment 2.7% on the first \$9,000. Source: HHSC PHC CDS budget workbook (rev. 9/1/2025) and PFD

rate sheets effective 9/1/2025. The former \$10.60 base-wage rule ended August 31, 2025.

## 6.6 The income model: low, typical, high

Assumptions: both spouses qualify; the cousin and husband are each hired by both employers; hours are split so no one exceeds 40 hours for a single employer; wage set at \$15.00 (CAS) or \$15.50 (HCBS). Gross pay is before the 7.65% Social Security and Medicare withholding. Multiply weekly hours by 52 and divide by 12 for the monthly figure.

| Scenario                                                                          | Hours / week | Wage    | Gross per month | Who is paid                          |
|-----------------------------------------------------------------------------------|--------------|---------|-----------------|--------------------------------------|
| <b>Floor:</b> only one spouse qualifies for CAS at 30 hours                       | 30           | \$15.00 | <b>\$1,950</b>  | Cousin alone                         |
| <b>Bridge (CAS), both spouses, moderate needs</b> (35 + 35)                       | 70           | \$15.00 | <b>\$4,550</b>  | Cousin 40, husband 30                |
| <b>Bridge (CAS), both at the 50-hour cap</b>                                      | 100          | \$15.00 | <b>\$6,500</b>  | Cousin 50, husband 50 (40 + 10 each) |
| <b>Destination (STAR+PLUS HCBS), both, H2060 supports 50 each</b>                 | 100          | \$15.50 | <b>\$6,717</b>  | Same split                           |
| <b>Destination, high need</b> (60 + 60 incl. protective supervision for dementia) | 120          | \$15.50 | <b>\$8,060</b>  | Cousin 60, husband 60 (40 + 20 each) |
| <b>Destination, very high need</b> (70 + 70; inside the 202% cost ceiling)        | 140          | \$15.50 | <b>\$9,403</b>  | Same, or a third part-time attendant |

What the Texas rules actually authorize is driven by the Form H2060 minutes, so the "typical" row is the one to plan a budget around until the assessments are done. Honest ranges for a 65+ adult needing help with 3 to 5 activities of daily living run 25 to 50 hours a week; dementia with protective supervision can push HCBS hours well above that. Every hospitalization or decline is a reassessment trigger.

| Add-on                                                                                     | Monthly value                                                                               | Notes                                                                              |
|--------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------|
| Federal income tax saved by IRS Notice 2014-7 (live-in) on a \$6,500/month household       | about \$400 to \$500                                                                        | See 6.7. Texas has no income tax. Social Security and Medicare tax still withheld. |
| Earned Income Tax Credit if the couple elects to count excluded wages (Feigh election)     | up to \$8,231/year with 3+ children; \$664 with none                                        | Refundable; all-or-nothing election; 2026 figures (Rev. Proc. 2025-32)             |
| STAR+PLUS HCBS extras paid to vendors, not the family, but replacing household costs       | ERS \$37.61; meals; up to \$10,000/yr aids; \$7,500 home mods; \$5,000/yr dental per spouse | Section 8.2                                                                        |
| QMB paying both Part B premiums                                                            | \$405.80                                                                                    | Plus deductibles and copays                                                        |
| VA Pension with Aid and Attendance, married wartime veteran (paid to the veteran)          | up to \$2,874                                                                               | Section 6.8; must be spent on care or it offsets CAS hours                         |
| VA caregiver stipend (PCAFC) if the veteran is 70%+ service-connected (paid to the cousin) | \$3,034 to \$3,499 (Level 2) or \$1,896 to \$2,187 (Level 1)                                | Section 6.8; overlap with Medicaid hours must be cleared with the VA               |
| AAA Lifespan Respite voucher                                                               | about \$300/quarter guideline, often \$800 to \$1,000 per award                             | Paid to an outside respite provider                                                |



| Add-on                                                                                  | Monthly value                                                                           | Notes                                                                                       |
|-----------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------|
| SNAP for the couple (elderly simplified application), CEAP utility help, Lifeline phone | SNAP up to \$546 for two;<br>CEAP \$400 to \$1,200/yr;<br>Lifeline \$9.25 to \$12.75/mo | Section 6.4; the cousin's wages count for the cousin's own SNAP household, not the couple's |

**Why this is safe money**

The pay does not come from the aunt and uncle. It comes from Medicaid through the FMSA, so it never counts as a gift, never triggers a transfer penalty, and never touches their eligibility. Any money the couple pays the cousin directly must be under a written, prospective Personal Care Agreement for genuine personal care (Section 6.2).

## 6.7 Taxes for the cousin and husband

| Question                                         | Answer                                                                                                                                                                                                                                                                                                                                                                                                    | Source                                                            |
|--------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------|
| Is the pay federal-income-tax-free?              | Yes, if you live in the aunt and uncle's home as your own home (no separate residence) and the pay is a "Medicaid waiver payment." STAR+PLUS HCBS pay clearly qualifies. For CAS/PHC pay the IRS says it depends on the program's nature; most FMSAs apply the exclusion to live-in CDS attendants; get the FMSA's written position and, if in doubt, a tax preparer's.                                   | IRS Notice 2014-7; IRS Q&A (reviewed April 29, 2026), Q1 to Q4    |
| How is it reported?                              | You sign the FMSA's live-in difficulty-of-care statement. W-2 Box 1 shows \$0 (or the excluded amount appears in Box 12, Code II). If any excluded pay lands in Box 1, back it out on Schedule 1, line 8s.                                                                                                                                                                                                | IRS W-2 instructions; IRS Q&A                                     |
| Do I still pay Social Security and Medicare tax? | Yes, 7.65% withheld and matched by the employer budget. The family exemption covers only a spouse, parent or child. You earn Social Security credits.                                                                                                                                                                                                                                                     | 26 USC 3121(b)(3); IRS Pub. 926                                   |
| Can I still get the Earned Income Tax Credit?    | Yes. You may elect to count all the excluded pay as earned income for the EITC and Additional Child Tax Credit. 2026 maximums: \$664 (no children), \$4,427 (1), \$7,316 (2), \$8,231 (3+).                                                                                                                                                                                                               | Feigh v. Commissioner (2019); IRS AOD 2020-02; Rev. Proc. 2025-32 |
| Texas income tax?                                | None. Constitutionally prohibited.                                                                                                                                                                                                                                                                                                                                                                        | Tex. Const. art. VIII, sec. 24-a                                  |
| Unemployment insurance?                          | Covered. Texas excludes only a spouse, parent or child under 21 from domestic employment coverage. If the job ends (nursing-home placement, death), file with TWC 800-939-6631.                                                                                                                                                                                                                           | Tex. Labor Code 201.065                                           |
| Health insurance trap                            | Excluded wages are not in MAGI. In Texas (no Medicaid expansion) a household whose only income is excluded pay can fall below 100% of poverty and lose marketplace subsidies entirely. Keep some taxable income in the household or plan coverage before you rely on the exclusion.                                                                                                                       | 26 USC 36B(d)(2)(B); IRS premium tax credit Q&A                   |
| SNAP for the cousin's household                  | Counts the gross wages even though they are income-tax-free.                                                                                                                                                                                                                                                                                                                                              | 7 CFR 273.9(b)(1)(i)                                              |
| Overtime                                         | Over 40 hours for one employer is 1.5x and comes out of the fixed budget. Avoid it by splitting hours, or ask the FMSA whether the household live-in exemption applies (live-in 5 days/120 hours a week, written sleep and meal agreement). The 2025 federal "no tax on overtime" deduction (up to \$12,500 single / \$25,000 joint through 2028) needs the FMSA to report qualified overtime separately. | 29 CFR 552.102; 29 CFR 785.22; 26 TAC 264.241                     |
| Workers' compensation                            | Optional in Texas; without it the employer is personally liable for injuries. Buy a policy from the CDS budget (Form 1728).                                                                                                                                                                                                                                                                               | 26 TAC 264.223                                                    |

## 6.8 If the uncle (or aunt) served: the VA stack

VA money stacks on top of Medicaid, but Texas has one trap you must plan around. All figures effective December 1, 2025 through November 30, 2026.

| Benefit                                                                     | Who qualifies                                                                                                                                                                                             | 2026 amount                                                                                                                                                                                                         | How it interacts with Texas Medicaid                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|-----------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>VA Pension with Aid and Attendance</b><br>(needs-based)                  | 65+, 90 days active duty with 1 day in a wartime period (WWII, Korea, Vietnam, Gulf War), net worth under \$163,699 (home and 2 acres excluded), non-dishonorable discharge, needs help with daily living | Veteran with spouse: <b>\$34,488/yr = \$2,874/month</b> ; veteran alone \$29,093; surviving spouse \$18,697 (\$1,558/mo); both spouses veterans, both A&A: \$46,143                                                 | The A&A portion is NOT counted as income by Texas Medicaid (MEPD E-4315); the base pension is counted. <b>Trap:</b> CCSE Handbook 2531 treats A&A as the primary fund for attendant care; unspent A&A, or A&A spent on the same tasks Medicaid covers, is converted to hours and subtracted from CAS authorizations (a full \$2,874 divided by \$16.33 = 176 hours a month). Fix: document every A&A dollar spent on medications, supplies, equipment, therapy copays and privately paid care hours OUTSIDE the Medicaid plan (nights, weekends) under a written care agreement. |
| Family caregiver wages as VA medical expenses                               | Once the veteran is A&A-rated or a physician documents custodial need; the aunt's care counts too as a household relative                                                                                 | Payments above 5% of the basic rate (\$1,141/yr for veteran with spouse) reduce countable income dollar for dollar                                                                                                  | This is how a near-zero pension becomes the maximum: the couple pays the cousin under a care agreement for non-Medicaid hours and reports it on Form 21P-8416 (38 CFR 3.278). Those wages are taxable to the cousin (Notice 2014-7 does not cover VA-funded private pay).                                                                                                                                                                                                                                                                                                        |
| <b>VA Program of Comprehensive Assistance for Family Caregivers (PCAFC)</b> | Veteran with a 70%+ service-connected rating (any era), needs in-person care 6+ months; the cousin qualifies as an extended family member and as a live-in                                                | Monthly stipend to the cousin: Level 2 \$3,499 Houston, \$3,299 DFW, \$3,119 Austin, \$3,079 San Antonio, \$3,034 rest of Texas; Level 1 is 62.5% of that. Plus CHAMPVA health coverage, 30+ respite days, training | Paid to the caregiver, so it does not touch the couple's Medicaid budget. But 38 CFR 71.20(a)(5) bars care "simultaneously and regularly provided by another entity": get the VA Caregiver Support Coordinator's written answer on how Medicaid CDS hours for the same veteran are treated. Husband can be Secondary Family Caregiver.                                                                                                                                                                                                                                           |
| Veteran-Directed Care                                                       | Enrolled VA patient; referral by the VA social worker; offered through Central Texas (Temple) 855-937-2372, San Antonio AACOG 888-724-8387, DFW REACH 817-870-9082, Houston Harris County AAA             | A VA-funded monthly budget the veteran uses to hire and pay workers, family included                                                                                                                                | Useful for hours Medicaid will not authorize.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| VA Homemaker/Home Health Aide and Respite                                   | Enrolled VA patient with clinical need                                                                                                                                                                    | Agency aide hours; up to 30 days/year respite                                                                                                                                                                       | Covers the cousin's time off without unpaid gaps.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |

| Benefit                                                                                   | Who qualifies | 2026 amount                                                       | How it interacts with Texas Medicaid                                                                       |
|-------------------------------------------------------------------------------------------|---------------|-------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------|
| Disability compensation (if any service-connected condition, incl. PACT Act presumptives) | Any rating    | Not needs-based; A&A can be added as Special Monthly Compensation | Counted by Medicaid except its A&A portion; a 70%+ rating unlocks PCAFC and free State Veterans Home care. |

- **Sequence:** Texas Veterans Commission claims advisor **800-252-8387** (free, Mon-Fri 7:30-5:30) and VA Form 21-22; file **VA Form 21-0966** Intent to File today to lock the retroactive date; physician completes **21-2680**; file **21P-527EZ** with **21P-8416** (medical expenses) and 3 months of bank statements; enroll in VA health care (10-10EZ, 877-222-8387); ask the VA social worker about Veteran-Directed Care and aide hours; if 70%+ rated, file **10-10CG**. VA status line 800-827-1000; Caregiver Support Line 855-260-3274.
- **Never** route A&A through the Qualified Income Trust (it becomes countable for the co-payment). Give HHSC the VA award letter showing the A&A breakdown; HHSC verifies quarterly with the VA (Form 1240).
- Avoid "pension poachers" who sell annuities to qualify for A&A; the 36-month VA look-back penalizes transfers at \$2,874 a month per covered dollar, and the Medicaid 60-month look-back runs alongside.

## 7. The 120-day timeline (and what happens after)

Dates count from the day you make the first calls. The legal clocks in the right column are the ones that protect you; write each one on a calendar the day it starts.

| When                  | Aunt and uncle                                                                                                                                                                            | Cousin                                                                                                                                                                   | Husband                                                                        | Legal clocks running                                                                                                             |
|-----------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|
| <b>Day 1</b>          | Interest list, both names (844-438-5658 / YourTexasBenefits). 2-1-1 option 2: Community Care intake for both, CAS with CDS. Form H1200 online for both.                                   | Make the calls, keep the log. Sign nothing as DR.                                                                                                                        | Locate DD-214; call TVC 800-252-8387; VA Form 21-0966 intent to file.          | Interest-list request date = place in line. CCSE home visit due within 14 days. MEPD 45-day clock starts on the signed H1200.    |
| <b>Days 2 to 7</b>    | Doctor visits: Form 3052 signed, ADL limits charted, home-health referral if any skilled need. Financial snapshot. Sign SDPOA, MPOA, HIPAA, Directive, record the Transfer on Death Deed. | Written question to the Community Care office and two FMSAs about the Form 1726 "primary caregiver" line. Expense-sharing agreement drafted. Legal Hotline 800-622-2520. | VA net-worth inventory; physician appointment for 21-2680; 10-10EZ enrollment. | Form 3052 correction turnaround: 5 business days.                                                                                |
| <b>Days 7 to 21</b>   | Caseworker visit: Form H2060 for each. Worst days, every task, no "C" codes. Elect CDS (Form 1584), pick FMSA, Forms 1735/1736/1740. Ask for meals, DAHS, ERS, Family Care interest list. | Present as informant with the 7-day diaries. Start FMSA new-hire packet.                                                                                                 | Same packet. Named backup on Form 1740.                                        | CCSE decision due within 30 days of the signed application. QIT must exist before MEPD can certify (if income over \$2,982).     |
| <b>Days 21 to 45</b>  | Form 2065-A arrives with hours. Form 2101 to the FMSA within 5 business days. Set wages on Form 1730 at the ceiling. Approve the budget in writing.                                       | FMSA orientation done; Form 1729 back; EVV training and app; first shifts.                                                                                               | Same. File 21P-527EZ with 21-2680 and 21P-8416.                                | Fair hearing on low hours: 90 days (before the effective date to keep hours). FMSA: up to 3 weeks from meeting to first workday. |
| <b>Days 45 to 70</b>  | First CDS payroll. Report any change to MEPD within 10 days. MSP (QMB) approval: confirm SSA stops the \$202.90 deduction.                                                                | First paycheck (pay at least twice monthly). Register with the AAA caregiver program 800-252-9240.                                                                       | Ledger started: A&A spending, receipts, notices.                               | EVV visit maintenance: 95 days per visit.                                                                                        |
| <b>Days 70 to 120</b> | Reassessment request if needs changed. Home safety fixes. Dental, DME via Medicare and MCO.                                                                                               | CPR class; dementia training; care plan and log in place.                                                                                                                | Home mods bids ready for the HCBS day; NEMT set up.                            | MEPD redetermination annually; CCSE reassessment annually.                                                                       |

| When                                         | Aunt and uncle                                                                                                                                                         | Cousin                                                                                                                                           | Husband                                                             | Legal clocks running                                                                                                                                                    |
|----------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Months 3 to 12: interest-list release</b> | Answer the HHSC call or Form H2118 within 30 days. Return H1200 + H2053-B within 30 days. MN/LOC + H2060 + ISP within the MCO's 45 days. Form H2065-D with start date. | Move CDS accounts to the MCO's FMSA; new budget at \$17.24. Ask for protective supervision, respite (outside provider), aids, home mods, dental. | Same hiring under the HCBS budget. PCAFC application if 70%+ rated. | Start of care = 1st of the month after the last approval. MN valid 120 days. MCO appeal 60 days, continuation within 10 days, fair hearing 120 days after MCO decision. |
| <b>Every year</b>                            | ISP and MN/LOC renewal (12 months); MEPD renewal; registry rechecks on employees; new Form 1730 after any rate change (next rate action expected Sept. 1, 2027).       | Training log (Form 1732) and annual evaluation; tax filing with the 2014-7 exclusion.                                                            | VA Form 21P-8416 annual medical-expense report; ledger.             | Interest-list annual contact if still waiting (inactive after 120 days of no response).                                                                                 |

## 8. Delivering the highest level of care

Paid hours are the floor. What separates good care from great care is training, the right equipment (which Medicaid will buy if you ask by name), scheduled relief for the caregiver, and knowing the legal line for medical tasks. Everything below is free or Medicaid-paid unless a price is shown.

### 8.1 Free and low-cost training for the cousin and her husband

| Training                                                                                                                                                           | Where                                                                                                                                                              | Cost                                                            | Why it matters                                                                                                                                                          |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Family Caregiver Support Program (Title III-E): caregiver education, counseling, support groups, respite vouchers                                                  | Local Area Agency on Aging, <b>800-252-9240</b> . A niece caring for an aunt or uncle 60+ is an eligible caregiver (AAA Caregiver Eligibility Guide, Appendix VI). | Free                                                            | Enrolls you as the recognized family caregiver and unlocks vouchers                                                                                                     |
| Dementia care: UCLA Alzheimer's and Dementia Care caregiver videos; Teepa Snow Positive Approach to Care videos; Alzheimer's Association classes and 24/7 helpline | uclahealth.org (search "caregiver training videos"); teepasnow.com; <b>800-272-3900</b>                                                                            | Free                                                            | Bathing, agitation, wandering, repetitive questions, safe redirection                                                                                                   |
| Fall prevention: CDC STEADI caregiver brochure and "Check for Safety" home checklist                                                                               | cdc.gov/steady                                                                                                                                                     | Free                                                            | Falls are the number one reason a home placement fails. Do the checklist before the H2060 visit and after every fall.                                                   |
| AARP Prepare to Care workbook                                                                                                                                      | learn.aarp.org/prepare-to-care-guide                                                                                                                               | Free                                                            | Team, plan, records, self-care                                                                                                                                          |
| CPR / AED / First Aid (American Heart Association Heartsaver or Red Cross)                                                                                         | Local training centers; Red Cross <b>800-733-2767</b> ; ask the AAA about free classes                                                                             | About \$70 to \$120                                             | Not required for CDS, but expected of a professional-quality caregiver                                                                                                  |
| Certified Nurse Aide (Texas NATCEP): 60 classroom hours (HHSC online course is free) + 40 clinical hours + Prometric exam                                          | hhs.texas.gov (search "NATCEP"); Prometric <b>800-488-5787</b> . Nursing facilities often train free in exchange for work ("train-to-hire").                       | Exam \$120 (\$31 written + \$89 skills); tuition \$0 to \$1,500 | Does not change the CDS budget, but justifies paying the top wage in it and opens agency shifts if ever needed. Lapses after 24 months without verified paid aide work. |
| Pressure-injury prevention basics (NPIAP); medication reconciliation checklist (AHRQ)                                                                              | npiap.com; ahrq.gov                                                                                                                                                | Free                                                            | Reposition every 2 hours; skin checks; one current medication list                                                                                                      |

## 8.2 What Medicaid and Medicare will buy to make care better (ask by name)

| Item                                                                                                   | Source                                                                                     | Limit                                                                                                       | How to get it                                                                                                                                         |
|--------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|
| Skilled nursing, physical/occupational/speech therapy, home health aide (while skilled care is active) | Medicare home health                                                                       | \$0; must be homebound with an intermittent skilled need                                                    | Ask the PCP for a home-health referral after every hospitalization, fall or new diagnosis. Runs alongside Medicaid attendant hours.                   |
| Hospital bed, pressure mattress, wheelchair, walker, shower chair, lift, incontinence supplies         | Medicare Part B and Texas Medicaid state-plan DME first; then STAR+PLUS HCBS adaptive aids | HCBS adaptive aids and medical supplies: <b>\$10,000 per person per ISP year</b> (MCO may exceed)           | PCP writes the order with medical necessity; MCO service coordinator routes it. Never buy out of pocket first; there is no retroactive reimbursement. |
| Grab bars, ramps, roll-in shower, widened doors, bathroom and kitchen modifications                    | STAR+PLUS HCBS minor home modifications                                                    | <b>\$7,500 lifetime per person</b> + \$300/year repairs; done within 90 business days of the ISP            | Each spouse has a separate \$7,500. Ask at the first ISP meeting.                                                                                     |
| Dentures, extractions, routine and emergency dental                                                    | STAR+PLUS HCBS dental                                                                      | <b>\$5,000 per person per ISP year</b> ; MCO can waive for oral surgery; referral within 90 days of request | Adult Medicaid otherwise covers almost no dental. Ask.                                                                                                |
| Emergency response pendant                                                                             | STAR+PLUS HCBS ERS (or CAS/CCSE ERS)                                                       | 12 units per plan year                                                                                      | Justified for the hours the caregivers are out of the house; document that schedule.                                                                  |
| Home-delivered meals                                                                                   | STAR+PLUS HCBS (no limit) or Title XX (H2060 score 20+, no means test)                     | Minimum 5 hot meals/week                                                                                    | Frees attendant minutes for hands-on care.                                                                                                            |
| Nursing, therapies, cognitive rehabilitation                                                           | STAR+PLUS HCBS                                                                             | No dollar cap; based on need; inside the 202% cost ceiling                                                  | Skilled nursing can also be delivered through CDS.                                                                                                    |
| Rides or mileage to medical appointments                                                               | MCO transportation line; Medical Transportation Program <b>877-633-8747</b>                | Book 2 workdays ahead (5 days out of county)                                                                | The Individual Transportation Participant program pays a relative mileage for driving; separate from CDS wages.                                       |
| Adult day center (Day Activity and Health Services)                                                    | MCO (Medicaid) or caseworker (Title XX)                                                    | Up to 10 units/week; physician order Form 3055                                                              | Structured respite; note it reduces attendant hours for those blocks.                                                                                 |
| Hospice and palliative care at home                                                                    | Medicare                                                                                   | No STAR+PLUS disenrollment; waiver hours continue for non-duplicative needs                                 | STAR+PLUS Handbook 3200.                                                                                                                              |

## 8.3 Respite: the relief that keeps the plan alive

- **STAR+PLUS HCBS respite:** up to **30 days (720 hours) per person per ISP year**, in-home or out-of-home, and in-home respite can be delivered through CDS by a hired backup attendant (STAR+PLUS Handbook 7300 and 8212). Respite exists to relieve the unpaid caregiving (nights, weekends), so document those unpaid hours; confirm the MCO's policy on respite when the same person is also the paid attendant.



- **AAA respite vouchers:** HHSC guideline \$300 per quarter; many AAAs award more. The voucher provider must be 18+ and "anyone except immediate family living in the home," so the husband cannot be the voucher worker; a friend, neighbor or agency can.
- **Texas Lifespan Respite / Take Time Texas:** HHSC's searchable respite-provider directory ([respite.hhs.state.tx.us](https://respite.hhs.state.tx.us)) for in-home and out-of-home providers by county.
- **Support:** AAA and Alzheimer's Association support groups (free); Caregiver Action Network help desk 855-227-3640; 988 crisis line, call or text, any hour.

## 8.4 The legal line for medical tasks (Texas Board of Nursing, 22 TAC Chapter 225)

| An unlicensed attendant <b>MAY</b> do (with written RN delegation, or as a "health maintenance activity" the client can direct)                                                                                                                                                                                                                              | An unlicensed attendant may <b>NEVER</b> do                                                                                                                                                                                                                                                                       |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Oral, sublingual, topical, eye, ear, nose and inhaler medications; pill-organizer medications; insulin and other subcutaneous diabetes injections; medications through an established feeding tube; intermittent catheterization; tube irrigation; tracheostomy care and suctioning; routine oxygen; vital signs and glucose checks (225.8, 225.10, 225.11). | Nursing assessments or care planning; dose calculations (other than measuring a prescribed liquid or splitting a pre-calculated tablet); injections other than the diabetes exceptions; taking verbal or telephone physician orders; giving the first dose of a new medication without RN documentation (225.13). |

Ask the MCO nurse or the Medicare home-health RN for written delegation before doing any nursing task. It protects the cousin legally and it is what a professional agency would require.

## 8.5 The written care plan (one per spouse)

Keep a one-page daily care plan and a daily log for each spouse. It is good care, it is audit protection (the Form 1720 service log must match EVV), and it is the strongest evidence at the next annual reassessment.

|                          | Checklist item                                                                                                                       |
|--------------------------|--------------------------------------------------------------------------------------------------------------------------------------|
| <input type="checkbox"/> | Diagnoses, allergies, physicians, pharmacy, MCO service coordinator name and number                                                  |
| <input type="checkbox"/> | Medication list with times, who sets up, who hands, who checks; RN delegation on file for anything beyond reminders                  |
| <input type="checkbox"/> | Transfer and mobility method (gait belt, walker, lift), fall-risk mitigations from the STEADI checklist                              |
| <input type="checkbox"/> | Bathing, skin-check and repositioning schedule; toileting and continence schedule; fluids and nutrition targets                      |
| <input type="checkbox"/> | Cognition and behavior notes (what triggers agitation, what calms); wandering safeguards                                             |
| <input type="checkbox"/> | Who covers which hours (cousin, husband, backup on Form 1740), and the respite calendar                                              |
| <input type="checkbox"/> | Emergency plan: 911 criteria, hospital preference, copies of Medical POA and Directive to Physicians in the binder and on the fridge |
| <input type="checkbox"/> | A 7-day ADL diary before every assessment, recording typical and worst days                                                          |

## 8.6 Oversight, complaints and protection

| Problem                                                                    | Call                                                                                                                                                                                                                            | Notes                                                                                                                                              |
|----------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|
| MCO slow, low hours, no assessment, service coordinator not responding     | MCO member services first, then HHSC Managed Care Ombudsman<br><b>866-566-8989</b> (Mon-Fri 8-5)                                                                                                                                | Online form: <a href="https://heartbep-ext.hhs.state.tx.us">heartbep-ext.hhs.state.tx.us</a> . Often resolves hour disputes faster than an appeal. |
| HHSC eligibility (MEPD), caseworker or interest-list problems              | HHS Office of the Ombudsman<br><b>877-787-8999</b>                                                                                                                                                                              |                                                                                                                                                    |
| Denied or reduced hours or items                                           | MCO appeal within <b>60 days</b> ; ask for continuation of benefits within <b>10 days</b> ; State Fair Hearing within <b>120 days</b> of the MCO decision; HCBS eligibility denials (Form H2065-D): fair hearing within 90 days | Decision within 90 days. Appeal every low authorization.                                                                                           |
| Abuse, neglect, self-neglect or financial exploitation of an adult at home | Adult Protective Services <b>800-252-5400</b> (24/7); <a href="https://txabusehotline.org">txabusehotline.org</a>                                                                                                               | Reporting is mandatory for everyone in Texas.                                                                                                      |
| Complaint about a licensed home-health/attendant agency or a facility      | HHSC Complaint and Incident Intake<br><b>800-458-9858</b>                                                                                                                                                                       | Long-Term Care Ombudsman 800-252-2412 is for facility residents only.                                                                              |
| Medicaid fraud, or you are asked to sign for hours not worked              | HHSC Office of Inspector General<br><b>800-436-6184</b>                                                                                                                                                                         | CDS employers and employees are audited on EVV and logs. Never bill time you are merely present.                                                   |
| Hospital wants to discharge before home supports are ready                 | Acentra Health (Texas Medicare QIO)<br><b>888-315-0636</b> before midnight on the discharge day                                                                                                                                 | Use the "Important Message from Medicare" fast appeal; no charge while under review.                                                               |

## 9. Pitfalls that cost families their pay (with the rule that makes each one a mistake)

| Mistake                                                                                                    | What it costs                                                                                        | The rule                                                   | Do this instead                                                                                            |
|------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------|------------------------------------------------------------|------------------------------------------------------------------------------------------------------------|
| Naming the cousin (or her husband) as CDS Designated Representative                                        | Neither can be paid by that employer                                                                 | Form 1726; 26 TAC 264.205                                  | Aunt and uncle are their own employers, or each other's DR, or use an outside adult                        |
| Letting the assessor record the cousin as the unpaid "primary caregiver," or answering "we manage fine"    | Tasks coded "C" are not purchased; in CAS/PHC/FC the primary caregiver may not be the paid attendant | CCSE 2432-2433; Form 1726                                  | State that unpaid help is not available; the cousin is the hired attendant                                 |
| Paying the cousin cash, back pay, or "under the table" before approval; adding her to the deed or accounts | Transfer penalty: \$262.37 per day of ineligibility; a \$20,000 gift = 76 days                       | MEPD I-1000, I-4100, I-5100                                | Written prospective Personal Care Agreement, checks, logs; Transfer on Death Deed instead of a deed change |
| Charging the cousin rent                                                                                   | Countable income to the couple; can push over \$2,982 and force a trust or co-payment                | MEPD E-3000/E-3300                                         | Written expense-sharing agreement, paid to vendors                                                         |
| Expecting Community First Choice                                                                           | Not available to the 300%-income (MAO) group most retirees are in                                    | STAR+PLUS Handbook 1100, 6118; LTSS comparison footnote 15 | CAS now, STAR+PLUS HCBS later; SSI route only if income is at SSI level                                    |
| Missing the HHSC interest-list contact or Form H2118                                                       | Removed from the list; start over at the bottom (44.6% of FY26-27 closures were "no response")       | 1 TAC 353.1153; PSU Handbook 3300                          | Answer within 30 days; keep address and phone current                                                      |
| Missing the 30-day window to return H1200 + H2053-B after release                                          | Default plan assignment; can close the release                                                       | PSU Handbook 3311                                          | Calendar it the day the packet arrives                                                                     |
| Physician does not sign the MN/LOC or Form 3052, or charts only "dementia"                                 | 617 medical-necessity denials and 251 "unable to obtain MD signature" closures in FY26-27            | PSU 1250; CCSE 4600                                        | Line up a responsive PCP now; ask for physical conditions causing the limits                               |
| Accepting priority status when live-in help is present                                                     | Cap drops from 50 to 42 hours for \$0.18/hour more                                                   | 26 TAC 271.81                                              | Decline unless truly needed for safety                                                                     |
| Overlapping or missed EVV clock-ins; billing time merely present in the home                               | Unpaid visits; locked after 95 days; possible fraud referral                                         | EVV Handbook 7000, 9000, 17000                             | Separate clock-ins per spouse; sequential shifts; daily log                                                |
| One person over 40 hours for a single employer with no overtime plan                                       | Overtime at 1.5x eats the fixed budget and lowers the wage                                           | 26 TAC 264.241, 264.505                                    | Split hours between the cousin and husband; ask about the live-in exemption                                |
| Counting on the husband for paid HCBS respite or the AAA voucher                                           | Not payable to someone living in the home                                                            | STAR+PLUS Handbook 7300; HHSC respite voucher guidelines   | Hire an outside respite worker; husband takes attendant hours instead                                      |

| Mistake                                                                     | What it costs                                                              | The rule                                                      | Do this instead                                                                         |
|-----------------------------------------------------------------------------|----------------------------------------------------------------------------|---------------------------------------------------------------|-----------------------------------------------------------------------------------------|
| Both spouses apply at once when assets are well above \$3,000               | No community-spouse protection; spend-down to \$3,000                      | MEPD J-1300                                                   | Ask an elder-law attorney about staging the applications (SPRA up to \$162,660)         |
| Unspent VA Aid and Attendance                                               | Converted to hours and subtracted from CAS authorizations                  | CCSE 2531                                                     | Ledger every A&A dollar to medications, supplies, equipment and non-Medicaid care hours |
| Depositing A&A into the Qualified Income Trust                              | Becomes countable for the co-payment                                       | MEPD E-4315; Appendix XXXVI                                   | Keep A&A out of the trust                                                               |
| Choosing the agency option                                                  | Attendant paid near the \$13.00 assumption; family loses control           | PFD rate methodology                                          | CDS: the family controls \$16.33 to \$17.24 per hour                                    |
| Not appealing low hours, or appealing late                                  | Hours stay low; benefits stop during appeal                                | CCSE 2900 (90 days); MCO 60 days; continuation within 10 days | Appeal every low authorization; ask for continuation                                    |
| Keeping a separate residence while claiming the tax exclusion               | Back taxes and penalties                                                   | IRS Q&A 3 on Notice 2014-7                                    | Move in fully; change license and voter registration                                    |
| Ignoring the health-coverage cliff                                          | No marketplace subsidy if household MAGI is below 100% of poverty in Texas | 26 USC 36B                                                    | Keep some taxable income or plan coverage first                                         |
| Buying equipment or home modifications out of pocket before asking          | No retroactive reimbursement                                               | STAR+PLUS Handbook 6400, 6600                                 | PCP order, MCO service coordinator, then the waiver pays                                |
| Forgetting to record the Transfer on Death Deed, or only one spouse signing | Void; home goes through probate and MERP                                   | Est. Code 114.055                                             | Record with the county clerk now; both owners sign                                      |
| Assuming CAS gives a Medicaid card                                          | No drug or medical coverage; only attendant hours                          | MEPD A-4100                                                   | File for the Medicare Savings Program and Extra Help on the same H1200                  |
| Using stale plan lists (Aetna, BCBSTX, Amerigroup)                          | Wrong phone numbers; wrong plan choice                                     | HHSC service-area chart effective Sept. 1, 2024               | Use the chart in Section 10 or call 800-964-2777                                        |

## 10. Directory: who to call, what to say, where to look

Every number below was checked against an official page or the organization's own published materials on September 3, 2026. Numbers still change; read plan numbers off the Medicaid ID card once issued, and use 2-1-1 as the fallback for any HHSC line.

## 10.1 Texas HHSC and Medicaid

| Who                                                      | Number / site                                                                                                                                | Hours          | Say this / use it for                                                                                                                                                                                                                                                              |
|----------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2-1-1 Texas (HHSC benefits line)                         | <b>2-1-1, option 2;</b><br>877-541-7905 from out of state or if 2-1-1 fails                                                                  | 2-1-1 is 24/7  | "I want to apply for Medicaid for the Elderly and People with Disabilities and Community Attendant Services for two people; please open a Community Care intake for each and note we want Consumer Directed Services." Also: application status, paper Form H1200, report changes. |
| YourTexasBenefits.com                                    | yourtexasbenefits.com                                                                                                                        | 24/7           | File Form H1200 online, upload documents, check status, "Find Support Services" referral to the interest list. Ask for Form H1800 receipt to prove the filing date.                                                                                                                |
| STAR+PLUS HCBS interest list                             | <b>844-438-5658</b><br>(STAR+PLUS HCBS line, CCSE Handbook 2230, rev. June 2026); 877-438-5658 (HHSC general interest-list line) as fallback | Business hours | "Please add [name] to the STAR+PLUS HCBS interest list and confirm the request date." Update address and phone here.                                                                                                                                                               |
| Aging and Disability Resource Center (statewide)         | <b>855-937-2372</b><br>(855-YES-ADRC)                                                                                                        | Business hours | Options counseling; help finding the regional Community Care office; Take Time Texas respite.                                                                                                                                                                                      |
| Area Agencies on Aging / HICAP (Texas SHIP)              | <b>800-252-9240</b>                                                                                                                          | Business hours | Caregiver support program, respite vouchers, free Medicare/MSP/Extra Help counseling, help with Form H1200.                                                                                                                                                                        |
| Texas Medicaid Enrollment Broker (plan choice)           | <b>800-964-2777;</b><br>STAR+PLUS members routed to <b>877-782-6440</b>                                                                      | Not published  | Which STAR+PLUS plans serve your county; change plans (as often as monthly).                                                                                                                                                                                                       |
| HHS Office of the Ombudsman, Managed Care                | <b>866-566-8989;</b> fax 888-780-8099; online heart bep-ext.hhs.state.tx.us                                                                  | Mon-Fri 8-5    | MCO not assessing, low hours, CDS/FMSA disputes. Call the plan first, then here.                                                                                                                                                                                                   |
| HHS Office of the Ombudsman, general                     | <b>877-787-8999</b>                                                                                                                          | Not published  | MEPD application past 45 days; caseworker or interest-list problems.                                                                                                                                                                                                               |
| HHSC Complaint and Incident Intake                       | 800-458-9858; tulip.hhs.texas.gov/LTCcomplaint                                                                                               | Mon-Fri 7-7    | Complaints about licensed agencies and facilities (not MCOs).                                                                                                                                                                                                                      |
| HHSC Office of Inspector General fraud line              | 800-436-6184; oig.hhs.texas.gov/reportfraud                                                                                                  | Not published  | Fraud by providers; also the office that audits EVV and timesheets.                                                                                                                                                                                                                |
| Medicaid Estate Recovery Program                         | <b>800-641-9356;</b><br>merp@hhs.texas.gov (contractor changes to Stellarware Sept. 1, 2026; number may change)                              | Not published  | How CAS and STAR+PLUS HCBS costs affect the home; hardship waiver criteria; Form 5006.                                                                                                                                                                                             |
| TMHP (Texas Medicaid and Healthcare Partnership)         | 800-925-9126; LTC line 800-626-4117                                                                                                          | Mon-Fri 7-7 CT | Medicaid ID and eligibility verification; MN/LOC form processing.                                                                                                                                                                                                                  |
| Medical Transportation Program (fee-for-service members) | 877-633-8747<br>(877-MED-TRIP)                                                                                                               | Mon-Fri 8-5    | Rides or mileage; STAR+PLUS members call the plan's transportation line instead.                                                                                                                                                                                                   |

| Who                                             | Number / site                                   | Hours          | Say this / use it for                                                                               |
|-------------------------------------------------|-------------------------------------------------|----------------|-----------------------------------------------------------------------------------------------------|
| HHSC Consumer Directed Services policy          | CDS@hhs.texas.gov; HHSC main 512-424-6500       | Business hours | CDS rule questions; FMSA complaints that the caseworker cannot fix.                                 |
| FMSA directory (CAS/PHC/FC)                     | resources.hhs.texas.gov/fmsa/PHC                | 24/7           | Search FMSAs by county (26 statewide for PHC/CAS/FC); for STAR+PLUS ask the plan for its FMSA list. |
| HHAeXchange (EVV) Texas support                 | <b>833-430-1307</b> ; TXSupport@hhaexchange.com | Business hours | App login, clock in/out problems, visit maintenance.                                                |
| HHSC Provider Finance (rates)                   | 737-867-7817; PFD-LTSS@hhs.texas.gov            | Business hours | Current CDS and attendant rate tables.                                                              |
| HHSC Employability Status Check (registries)    | txhhsregulatory.my.site.com/EMR                 | 24/7           | The FMSA runs Nurse Aide, Medication Aide and Employee Misconduct Registry checks here.             |
| Adult Protective Services (Texas Abuse Hotline) | <b>800-252-5400</b> ; txabusehotline.org        | 24/7           | Abuse, neglect, self-neglect, exploitation of an adult at home. Reporting is mandatory.             |
| Long-Term Care Ombudsman                        | 800-252-2412                                    | Not published  | Facility residents only (rehab stays, out-of-home respite, nursing-home discharge pressure).        |

## 10.2 STAR+PLUS health plans by service area (HHSC chart effective Sept. 1, 2024; unchanged as of Sept. 2026)

| Plan                            | Service areas                                                                 | Member services                           |
|---------------------------------|-------------------------------------------------------------------------------|-------------------------------------------|
| Superior HealthPlan             | Dallas, Hidalgo, Lubbock, Nueces, Travis, MRSA Central, MRSA West             | 877-277-9772 (Mon-Fri 8-5)                |
| Molina Healthcare of Texas      | Bexar, Dallas, El Paso, Harris, Hidalgo, Jefferson, Tarrant, MRSA Northeast   | 866-449-6849 (Mon-Fri 8-6 CT)             |
| UnitedHealthcare Community Plan | Bexar, Dallas, Harris, Hidalgo, Tarrant, Travis, MRSA Central, MRSA Northeast | 888-887-9003; LTSS line 888-787-4107      |
| Wellpoint (formerly Amerigroup) | Jefferson, Lubbock, Nueces, MRSA West                                         | 833-731-2160 (Mon-Fri 7-6 CT)             |
| Community First Health Plans    | Bexar (San Antonio region)                                                    | 855-607-7827 / 210-358-6403               |
| Community Health Choice         | Harris (Houston region, 9 counties)                                           | 888-435-2850 / 713-295-2300 (Mon-Fri 8-5) |
| El Paso Health                  | El Paso and Hudspeth counties                                                 | 833-742-3127 (Mon-Fri 8-5 MT)             |

Aetna Better Health, Blue Cross Blue Shield of Texas and FirstCare do not hold STAR+PLUS contracts even though an older HHSC logo page still shows them. Choose the plan by calling each service-coordination line and asking: "Which FMSAs are in your network? How fast do you complete the H2060 for new members? Do you authorize protective supervision?" You can switch plans monthly.

## 10.3 Federal, VA, legal and caregiver-support contacts

| Who                                                                            | Number / site                                                     | Hours                | Use it for                                                                                                        |
|--------------------------------------------------------------------------------|-------------------------------------------------------------------|----------------------|-------------------------------------------------------------------------------------------------------------------|
| Social Security Administration                                                 | 800-772-1213 (TTY 800-325-0778)                                   | Mon-Fri 8-7          | Benefit verification letters for the H1200; Extra Help; the cousin's wage record.                                 |
| Medicare                                                                       | 800-633-4227 (TTY 877-486-2048)                                   | 24/7                 | Home health, DME, hospice; confirm Part B premium stops after QMB.                                                |
| IRS                                                                            | 800-829-1040; irs.gov Notice 2014-7 Q&A                           | Mon-Fri 7-7 local    | Difficulty-of-care exclusion; W-2 Box 12 Code II; EITC election.                                                  |
| U.S. Department of Labor, Wage and Hour                                        | 866-487-9243                                                      | Business hours       | Live-in domestic worker overtime rules.                                                                           |
| Texas Workforce Commission (unemployment)                                      | 800-939-6631; twc.texas.gov                                       | Mon-Fri 8-6 CT       | Claims if CDS employment ends.                                                                                    |
| Texas Veterans Commission / Texas Veterans Call Center                         | <b>800-252-8387</b> (800-252-VETS)                                | Mon-Fri 7:30-5:30 CT | Free accredited claims advisor for pension, A&A, PCAFC.                                                           |
| VA Benefits (pension status)                                                   | 800-827-1000 (the older 877-294-6380 no longer appears on va.gov) | Mon-Fri 8am-9pm ET   | Pension and A&A claim status; Pension Intake Center, PO Box 5365, Janesville WI 53547-5365.                       |
| VA Caregiver Support Line                                                      | 855-260-3274                                                      | Mon-Fri 8-8 ET       | PCAFC (Form 10-10CG), Caregiver Support Coordinator, respite.                                                     |
| VA Health Benefits (enrollment)                                                | 877-222-8387                                                      | Mon-Fri 8-8 ET       | Form 10-10EZ; find the VA medical center; Veteran-Directed Care referral via the social worker.                   |
| Legal Hotline for Texans (Texas Legal Services Center)                         | <b>800-622-2520, option 3;</b> texaslawhelp.org                   | Mon-Fri 8:30-5       | Free advice for 60+: POA, TODD, Medicaid, MERP. Free forms at TexasLawHelp.org.                                   |
| Texas RioGrande Legal Aid / Lone Star Legal Aid / Legal Aid of NorthWest Texas | 833-329-8752 / 800-733-8394 / 888-529-5277                        | Business hours       | Free civil legal aid by region.                                                                                   |
| State Bar of Texas Lawyer Referral                                             | 800-252-9690; texasbar.com/lris                                   | Mon-Fri 8:30-4:30    | Elder-law attorney for the QIT, care agreement, application staging. Also the Texas NAELA directory at naela.org. |
| Alzheimer's Association                                                        | 800-272-3900                                                      | 24/7                 | Dementia care coaching, classes, support groups.                                                                  |
| Caregiver Action Network help desk                                             | 855-227-3640                                                      | Mon-Fri 7-6 CT       | Caregiver coaching.                                                                                               |
| 988 Suicide and Crisis Lifeline                                                | Call or text 988                                                  | 24/7                 | Caregiver crisis or burnout.                                                                                      |
| Eldercare Locator                                                              | 800-677-1116                                                      | Business hours       | National referral to the local AAA/ADRC and Veteran-Directed Care sites.                                          |
| Acentra Health (Texas Medicare QIO)                                            | 888-315-0636                                                      | Business hours       | Fast appeal of a hospital discharge before home supports are ready.                                               |
| Prometric (Texas nurse aide exam)                                              | 800-488-5787                                                      | Business hours       | CNA written and skills exam scheduling.                                                                           |



| Who                                 | Number / site                                                                     | Hours          | Use it for                                                                      |
|-------------------------------------|-----------------------------------------------------------------------------------|----------------|---------------------------------------------------------------------------------|
| Texas Lifeline (phone discount)     | 866-454-8387                                                                      | Business hours | Lifeline application once Medicaid or SNAP is approved.                         |
| Texas Comptroller property tax help | 800-252-9121;<br><a href="http://comptroller.texas.gov">comptroller.texas.gov</a> | Business hours | Over-65 homestead exemption (Form 50-114), tax ceiling, deferral (Form 50-126). |

## 10.4 Forms you will hear about, by number

| Form                                        | What it is                                                                                                                                                                                                                   | Who handles it                                        |
|---------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------|
| H1200 / H1200-EZ                            | Medicaid (MEPD) application; EZ version for Medicare Savings Programs only                                                                                                                                                   | Aunt and uncle (organizer); YourTexasBenefits.com     |
| H1003                                       | Appointment of an Authorized Representative for HHSC dealings                                                                                                                                                                | Aunt and uncle name the cousin                        |
| H1020                                       | HHSC request for missing information; final due date is day 39                                                                                                                                                               | Answer immediately                                    |
| H1746-A                                     | MEPD referral cover sheet routing the H1200 and waiver status                                                                                                                                                                | HHSC staff                                            |
| 3052                                        | Practitioner's Statement of Medical Need (CAS/PHC)                                                                                                                                                                           | The doctor                                            |
| 2110 / 2060 (H2060) / H2060-A / H2060-B     | Community Care intake; the needs assessment and task/hour guide that sets weekly hours; STAR+PLUS addenda                                                                                                                    | Caseworker or MCO nurse, with the family as informant |
| 2101 / 2065-A                               | Authorization of Community Care services; notice of decision and hours (appeal rights)                                                                                                                                       | Caseworker; watch the mail                            |
| 1581 / 1582 / 1583 / 1584                   | CDS overview; CDS responsibilities and self-assessment; employee qualification requirements; choice of CDS, SRO or agency and the FMSA                                                                                       | Aunt and uncle sign                                   |
| 1720 / 1721                                 | Appointment / revocation of a Designated Representative (never the cousin or husband)                                                                                                                                        | Aunt and uncle                                        |
| 1722                                        | EVV responsibility option (1, 2 or 3)                                                                                                                                                                                        | Employer                                              |
| 1724 / 1725 / 1729                          | New-hire packet cover; background and registry check consent; FMSA applicant verification (no work before it is signed)                                                                                                      | Cousin, husband, FMSA                                 |
| 1726 / 1734                                 | Relationship definitions and certification of relationship status (every answer "No")                                                                                                                                        | Employer and each employee                            |
| 1728                                        | Liability acknowledgment / workers' compensation election                                                                                                                                                                    | Employer                                              |
| 1730 / 1731 / 1732 / 1733 / 1737            | Wage and benefits plan; work schedule; training log; nursing-licensure exemption for delegated tasks; employer-employee agreement                                                                                            | Employer and employee                                 |
| 1735 / 1736 / 1740                          | Employer-FMSA service agreement; orientation record; service backup plan                                                                                                                                                     | Employer and FMSA                                     |
| H2053-B / H3676 / H1700-1 / H2065-D / H2118 | STAR+PLUS plan choice; pre-enrollment assessment authorization (45-day clock); Individual Service Plan; notice of managed-care services (start date, appeal rights); interest-list continued-interest confirmation (30 days) | Enrollment broker, MCO, HHSC Program Support Unit     |
| MN/LOC                                      | Medical Necessity and Level of Care assessment (TMHP portal), physician-signed; sets the 202% cost ceiling                                                                                                                   | MCO nurse and the doctor                              |
| H1272 / H1275                               | Spousal resource assessment; expanded SPRA request                                                                                                                                                                           | MEPD specialist, if staging applications              |
| 8001 / 5006                                 | MERP notice of intent to file a claim; hardship waiver application (60 days)                                                                                                                                                 | Estate representative, later                          |

| Form                                                                                         | What it is                                                                                                                                                                    | Who handles it                     |
|----------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------|
| 1240                                                                                         | HHSC request to the VA for the benefit breakdown (A&A vs base pension)                                                                                                        | MEPD specialist                    |
| H1010 / H0011                                                                                | SNAP application; Texas Simplified Application Project for all-elderly households                                                                                             | Aunt and uncle                     |
| 50-114 / 50-126                                                                              | Homestead exemption application; over-65 tax deferral affidavit                                                                                                               | County appraisal district          |
| VA 21-0966 / 21-22 / 21P-527EZ / 21-2680 / 21P-8416 / 21P-0969 / 10-10EZ / 10-10CG / 10-10EC | Intent to file; VSO representation; pension application; A&A physician exam; medical expense report; income/asset statement; VA health enrollment; PCAFC; extended-care copay | Veteran, with TVC advisor          |
| IRS W-2 Box 12 Code II; Schedule 1 line 8s                                                   | Where excluded Medicaid waiver pay is reported                                                                                                                                | FMSA and the cousin's tax preparer |

## 10.5 Rules to cite in a letter or appeal

| Citation                                                                                                                                                                                                                                                                                                                      | What it governs                                                                                       |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|
| 1 TAC 353.1153                                                                                                                                                                                                                                                                                                                | STAR+PLUS HCBS eligibility, interest list, 202% cost limit                                            |
| 1 TAC 354.1360-354.1366                                                                                                                                                                                                                                                                                                       | Community First Choice                                                                                |
| 1 TAC 355.7052 (and repealed 355.7051)                                                                                                                                                                                                                                                                                        | Attendant rate methodology; former \$10.60 base wage                                                  |
| 1 TAC Chapter 357                                                                                                                                                                                                                                                                                                             | Fair hearings                                                                                         |
| 1 TAC Chapter 358 (358.433, 358.437)                                                                                                                                                                                                                                                                                          | MEPD financial eligibility; special income limit; couple budgets                                      |
| 1 TAC Chapter 373 (373.105, 373.209, 373.213)                                                                                                                                                                                                                                                                                 | Estate recovery: scope, hardship waivers, deductions                                                  |
| 26 TAC Chapter 264 (264.205, 264.223, 264.225-.233, 264.241, 264.403, 264.505-.511)                                                                                                                                                                                                                                           | Consumer Directed Services: DR, liability, hiring checks, overtime, FMSA transfer, budgets            |
| 26 TAC Chapter 271 (271.5, 271.53, 271.69, 271.71, 271.77, 271.81, 271.151)                                                                                                                                                                                                                                                   | Community Care eligibility: interest lists, income, Family Care, meals, DAHS, PHC/CAS, case timelines |
| 22 TAC Chapter 225                                                                                                                                                                                                                                                                                                            | What an unlicensed attendant may do under RN delegation                                               |
| Tex. Est. Code ch. 114; 752.051; 1104.202; 1357                                                                                                                                                                                                                                                                               | Transfer on Death Deed; durable POA; declaration of guardian; supported decision-making               |
| Tex. Health & Safety Code 166.154, 181.154, 250.006                                                                                                                                                                                                                                                                           | Medical POA; HIPAA authorization; criminal-history bars                                               |
| Tex. Labor Code 201.065; Tex. Tax Code 11.13, 11.26, 33.06                                                                                                                                                                                                                                                                    | Unemployment family exclusion; homestead exemptions, ceiling, deferral                                |
| IRS Notice 2014-7; IRC 131; 26 USC 3121(b)(3); Feigh v. Commissioner, 152 T.C. No. 15                                                                                                                                                                                                                                         | Difficulty-of-care exclusion; FICA family exemptions; EITC election                                   |
| 29 CFR 552.102; 29 CFR 785.22                                                                                                                                                                                                                                                                                                 | Live-in domestic worker overtime exemption; sleep time                                                |
| 38 CFR 3.274-3.278; 38 CFR 71.15-71.40; 38 U.S.C. 1720G                                                                                                                                                                                                                                                                       | VA pension net worth, transfers, medical expenses; PCAFC                                              |
| Handbooks: MEPD (A-4100, B-6400, E-3000, E-4300, E-7100, F-3600, F-4200, G-4100, G-6200, I-3100, I-4100, I-5100, J-1300, O-1000, Q-2500, App. XXXI, XXXVI); CCSE (2300, 2400, 2531, 2900, 3200, 4400, 4600, 6300); STAR+PLUS (1100, 3200, 3400, 6100-6600, 7300, 8200); PSU (1200, 3311, 4200, 7200); EVV (7000, 9000, 17000) | All at <a href="https://fhhb.hhs.texas.gov/handbooks">fhhb.hhs.texas.gov/handbooks</a>                |

## 10.6 Search terms that reliably find the official page

- "STAR+PLUS HCBS interest list" [hhs.texas.gov](https://hhs.texas.gov); "interest list reduction" [hhs.texas.gov](https://hhs.texas.gov); "1 TAC 353.1153"
- "Community Attendant Services" CCSE Handbook 4600; "26 TAC 271.81"; "Form 3052 practitioner's statement of medical need"
- "Form H2060 needs assessment questionnaire task hour guide"; "CCSE Handbook 2441.3 companion case"
- "Consumer Directed Services" "How CDS Works" [hhs.texas.gov](https://hhs.texas.gov); "CDS FAQ" [hhs.texas.gov](https://hhs.texas.gov) pdf; "Form 1726 relationship definitions CDS"; "26 TAC 264.205 designated representative"; "Form 1730 wage and benefits plan"; "PHC CDS budget workbook"
- "FMSA agencies" [resources.hhs.texas.gov/fmsa](https://resources.hhs.texas.gov/fmsa); "CDS support advisors" [resources.hhs.texas.gov](https://resources.hhs.texas.gov)
- "9-1-2025 PHC rates" [pfd.hhs.texas.gov](https://pfd.hhs.texas.gov); "9-1-2025 STAR+PLUS rates" [pfd.hhs.texas.gov](https://pfd.hhs.texas.gov); "Rider 23 attendant wage \$13.00 Information Letter 2025-11"
- "MEPD Handbook Appendix XXXI budget reference chart"; "MEPD Appendix XXXVI qualified income trust"; "MEPD I-5100 transfer of assets divisor"; "MEPD I-4100 compensation"; "MEPD J-1300 spousal definitions"
- "Your Guide to the Medicaid Estate Recovery Program" [hhs.texas.gov](https://hhs.texas.gov); "1 TAC 373.213"; "Transfer on Death Deed kit" [texaslawhelp.org](https://texaslawhelp.org)
- "STAR+PLUS Handbook 7300 respite"; "STAR+PLUS Handbook 6400 adaptive aids"; "STAR+PLUS Handbook 6600 minor home modifications"; "STAR+PLUS Handbook 8200 consumer directed services"
- "EVV policy handbook 9000 visit maintenance 95 days"; "HHAeXchange Texas CDS employer"
- "STAR+PLUS health plans by service area" pdf [hhs.texas.gov](https://hhs.texas.gov); "Ombudsman managed care help" [hhs.texas.gov](https://hhs.texas.gov)
- "certain Medicaid waiver payments may be excludable from income" [irs.gov](https://irs.gov); "Feigh v. Commissioner AOD 2020-02"; "Fact Sheet 79B live-in domestic service workers" [dol.gov](https://dol.gov)
- "veterans pension rates" [va.gov](https://va.gov); "38 CFR 3.278"; "CCSE Handbook 2531 aid and attendance"; "MEPD E-4315 VA benefits"; "PCAFC eligibility" [caregiver.va.gov](https://caregiver.va.gov); "Texas Veterans Commission claims"
- "Area Agencies on Aging" [hhs.texas.gov](https://hhs.texas.gov); "respite voucher program guidelines" [hhs.texas.gov](https://hhs.texas.gov); "Take Time Texas respite"; "NATCEP" [hhs.texas.gov](https://hhs.texas.gov); "22 TAC 225 delegation"

## 10.7 Glossary

| Term                      | Meaning                                                                                                                                                                                                     |
|---------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| ADL / IADL                | Activities of daily living (bathing, dressing, toileting, transfers, eating, walking) / instrumental activities (meals, cleaning, shopping, medications, escort)                                            |
| A&A                       | VA Aid and Attendance, the highest tier of VA pension or a compensation add-on for people who need help with daily living                                                                                   |
| CAS / PHC / FC            | Community Attendant Services (Medicaid-funded attendant hours without full Medicaid) / Primary Home Care (same, for people with full Medicaid) / Family Care (state-funded backup)                          |
| CCSE                      | Community Care Services Eligibility, the HHSC caseworker unit that runs CAS, PHC, FC, meals, DAHS                                                                                                           |
| CDS / FMSA / DR           | Consumer Directed Services (the person is the employer) / Financial Management Services Agency (payroll agent) / Designated Representative (runs employer duties; cannot be paid or married to an employee) |
| CFC                       | Community First Choice, an attendant benefit with no cap and no waitlist, available only to SSI-level Medicaid members                                                                                      |
| EVV                       | Electronic Visit Verification: the required clock-in/clock-out for every attendant shift                                                                                                                    |
| H2060 / MN/LOC / ISP      | The needs assessment that sets hours / the medical necessity and level-of-care assessment for STAR+PLUS HCBS / the Individual Service Plan (Form H1700-1)                                                   |
| MAO                       | Medical Assistance Only: the Medicaid group for people with income between the SSI level and 300% of SSI; most retirees                                                                                     |
| MCO / service coordinator | The STAR+PLUS managed-care plan and its nurse or case manager who assesses and authorizes services                                                                                                          |
| MEPD                      | Medicaid for the Elderly and People with Disabilities, the HHSC financial eligibility unit                                                                                                                  |
| MERP                      | Medicaid Estate Recovery Program                                                                                                                                                                            |
| MSP / QMB / SLMB / QI     | Medicare Savings Programs that pay Medicare premiums and, for QMB, all cost-sharing                                                                                                                         |
| PAS                       | Personal assistance services: attendant hours                                                                                                                                                               |
| PCAFC                     | VA Program of Comprehensive Assistance for Family Caregivers (monthly stipend to the caregiver)                                                                                                             |
| PSU                       | HHSC Program Support Unit that processes STAR+PLUS HCBS eligibility                                                                                                                                         |
| QIT                       | Qualified Income Trust (Miller trust) used when income is over the \$2,982 cap                                                                                                                              |
| SPRA / MMMNA              | Spousal Protected Resource Amount / Monthly Maintenance Needs Allowance for a community spouse                                                                                                              |
| STAR+PLUS HCBS            | The Texas home-and-community-based waiver program for adults who meet nursing-facility level of care (formerly the STAR+PLUS Waiver)                                                                        |
| TODD                      | Transfer on Death Deed                                                                                                                                                                                      |

Sources: Texas HHSC handbooks and forms at [fhhb.hhs.texas.gov](http://fhhb.hhs.texas.gov) (MEPD, CCSE, STAR+PLUS, PSU, CDS, EVV), HHSC Provider Finance rate schedules effective September 1, 2025, HHSC interest-list data through July 31, 2026, Texas Administrative Code, CMS Informational Bulletin of April 27, 2026, IRS Notice 2014-7 and Q&A, VA pension rate tables effective December 1, 2025, OPM 2026 salary tables, Texas statutes. Research and cross-checking completed September 3, 2026. Rules change on September 1 and January 1 each year.